QUALITY OF EARNINGS - NET WORKING CAPITAL ANALYSIS

This analysis presents a descriptive trend of the Company's net working capital over the thirty-six months ended with the most recent month then ended, prepared for the Buyer's diligence use in connection with the Transaction. It supplements, and does not substitute for, the purchase-price working capital mechanics set out in the Stock Purchase Agreement.

SECTION 1. BASIS OF THE MONTHLY TREND

The trend below is calculated on a cash-inclusive basis: unrestricted cash and cash equivalents are included as a current asset in each month's net working capital figure. This is a descriptive, diagnostic convention used throughout this analysis for trend purposes only, and differs from the Stock Purchase Agreement's own defined Closing Working Capital calculation, which excludes cash because cash settles separately through that agreement's own estimated-cash mechanism.

Debt-like items - the current portion of capital lease obligations, accrued interest, and the deferred contingent earn-out obligation related to a prior tuck-in acquisition - are excluded from the trend below, consistent with the itemized exclusion list maintained in the Sample Working Capital Statement referenced in the Stock Purchase Agreement's own accounting-principles schedule, and are instead analyzed as part of the Net Debt bridge in the Net Debt and Cash Analysis referenced elsewhere in this engagement's work product.

Debt-like item excluded from this trend	Amount
Capital Lease Current Portion	1,100,000.00
Accrued Interest	2,400,000.00
Deferred Contingent Earnout Prior Tuck In	1,600,000.00

SECTION 2. THIRTY-SIX-MONTH WORKING CAPITAL TREND (DESCRIPTIVE)

The table below presents the descriptive, cash-inclusive net working capital trend at the summary level for each of the thirty-six months ended with the most recent month then ended. The underlying accounts receivable, inventory, prepaid-expense, accounts payable and accrued-liability components behind the three most recently completed months are detailed separately in the Working Capital Build by Line Item table in Section 2C below; a full line-item breakout for all thirty-six months is not reproduced in this excerpt.

Month	Net Working Capital (cash-inclusive, unaudited)
July 2023	9,725,000.00
August 2023	10,460,000.00
September 2023	11,210,000.00
October 2023	11,990,000.00
November 2023	12,815,000.00
December 2023	13,655,000.00
January 2024	14,465,000.00
February 2024	15,252,500.00
March 2024	15,927,500.00
April 2024	16,640,000.00
May 2024	17,390,000.00
June 2024	18,155,000.00
July 2024	18,905,000.00
August 2024	19,640,000.00
September 2024	20,390,000.00
October 2024	21,170,000.00
November 2024	21,995,000.00
December 2024	22,835,000.00
January 2025	23,645,000.00
February 2025	24,432,500.00
March 2025	25,107,500.00
April 2025	25,820,000.00
May 2025	26,570,000.00
June 2025	27,335,000.00
July 2025	28,085,000.00
August 2025	28,820,000.00
September 2025	29,570,000.00
October 2025	30,350,000.00
November 2025	31,175,000.00
December 2025	32,015,000.00
January 2026	32,825,000.00

February 2026	33,612,500.00
March 2026	34,287,500.00
April 2026	35,000,000.00
May 2026	35,750,000.00
June 2026	36,500,000.00

Table 1 above is a descriptive, trend-basis presentation only. It is not, and must not be treated as, the Stock Purchase Agreement's defined Closing Working Capital figure, which is computed through a separate completion-accounts process on a cash-excluded basis and is governed exclusively by that agreement's own accounting-principles schedule. A reader who substitutes the average, or any single month's figure, above for that agreement's own defined figure has made a definitional substitution this analysis does not endorse.

The three months averaged for cross-reference purposes - April, May, and June 2026 - were selected because they are the most recent completed months of management accounts available as of the date of this analysis, and because a three-month window smooths ordinary intra-quarter timing differences in receivable collections and payable disbursements without obscuring the underlying trend; the three-month average is 35,750,000.00.

SECTION 2A. WHY A CASH-INCLUSIVE TREND IS DIAGNOSTICALLY USEFUL

A cash-inclusive trend is diagnostically useful even though it is not the contractually operative figure, because it lets a reader see whether a decline or increase in the cash-excluded working capital figure is being offset, or amplified, by a corresponding movement in cash - for example, whether receivables are being collected into cash rather than genuinely shrinking the Company's net investment in operations. Presenting the two bases side by side, rather than only the cash-excluded figure, is intended to give the Buyer's diligence team a fuller picture of the Company's short-term liquidity dynamics over the trend period, without in any way substituting for the purchase-price mechanism itself.

This firm's working papers retain the underlying general ledger detail supporting each month's balance above, including the receivable aging, inventory roll-forward, and accounts payable aging schedules reviewed in connection with this analysis. That detail is not reproduced in this excerpt; a reader seeking line-item support for a specific month's figure should request the underlying working papers through the Buyer's diligence coordinator rather than infer that support from this summary presentation.

SECTION 2B. SEASONALITY ANALYSIS

The Company's net working capital trend follows a recognizable seasonal pattern tied to its shipping calendar rather than to any change in underlying credit or collection performance. Inventory builds progressively from August through November ahead of the Company's fourth-quarter shipping season, which is the period in which the Company's largest customers place orders timed to their own year-end inventory replenishment cycles. Net working capital peaks in November as raw-material and finished-goods inventory are at their highest levels relative to the receivables and payables then outstanding.

The trend troughs in February, after the fourth-quarter shipments have been collected into cash and before the following year's inventory build begins in earnest. A reader comparing a single month's net working capital figure against the Target Working Capital peg without regard to where that month falls in this cycle risks drawing an incorrect conclusion about the trend's direction; the peg itself was negotiated with this seasonality in mind, as discussed in Section 3B below.

The seasonal pattern described above is consistent across each of the three years presented in the thirty-six-month trend in Section 2 above, and we did not identify any change in the underlying seasonal amplitude or timing over that period. The Buyer's diligence team should evaluate the Closing Date's own position in this cycle when assessing whether the negotiated peg and collar remain appropriate for a Closing occurring at that point in the calendar year.

SECTION 2C. WORKING CAPITAL BUILD BY LINE ITEM (SECOND QUARTER 2026)

The table below decomposes the cash-excluded Closing Working Capital figure for the three months then ended into its constituent current-asset and current-liability line items, drawn from the Q2 2026 Management Accounts referenced elsewhere in this engagement's work product. This line-item detail is presented for the current quarter only; see Section 2 above for the reason the full thirty-six-month trend is presented at the summary level.

Line item (Q2 2026, cash-excluded basis)	Amount
Accounts receivable, inventory and prepaid expenses (current assets, excluding cash)	41,700,000.00
Accounts payable and accrued operating liabilities (trade)	14,800,000.00
Closing Working Capital (SPA-defined, cash-excluded, debt-like items excluded)	26,900,000.00
Memo: debt-like items excluded per the itemized exclusion list	5,100,000.00

SECTION 3. RELATIONSHIP TO THE NEGOTIATED PEG

The Stock Purchase Agreement's negotiated Target Working Capital peg and dead-band collar are the Buyer's and the Seller's own negotiated reference points for the purchase-price adjustment mechanism, and are not derived from, or intended to reconcile precisely to, the cash-inclusive trend presented in Section 2 above.

Stock Purchase Agreement reference point	Amount
Target Working Capital (peg)	28,400,000.00
Dead-band collar	750,000.00

The peg and collar above are stated here for cross-reference only; the Stock Purchase Agreement's own Article II accounting-principles schedule, not this analysis, governs their calculation and application, including the mechanic by which the full difference between the actual Closing Working Capital and the peg adjusts the purchase price once the dead-band is breached.

SECTION 3A. WHY THE DEFINITIONS ARE NOT INTERCHANGEABLE

The Stock Purchase Agreement's own accounting-principles schedule establishes a hierarchy for computing Closing Working Capital: first, the schedule itself controls; second, where the schedule is silent, generally accepted accounting principles control; and third, where generally accepted accounting principles are themselves ambiguous, consistency with the Sample Working Capital Statement controls. Nothing in that hierarchy assigns any governing role to this analysis's own descriptive trend table, and this analysis does not purport to occupy any place in that hierarchy.

Two structural differences separate the trend above from the Stock Purchase Agreement's own calculation, and a reader should keep both in mind before using either figure for any purpose beyond the one for which it was prepared. First, the axis addressed in Section 1 above: this trend includes cash, and the agreement's own calculation excludes it. Second, timing: the agreement's own Closing Working Capital is measured as of the closing date through a completion-accounts process with its own true-up mechanism, while the trend above is a rolling monthly view drawn directly from unaudited interim management accounts, without any of the completion-accounts adjustments, true-up procedures, or dispute-resolution mechanics that attach to the agreement's own figure.

Because both differences point in different directions - cash inclusion generally increases the reported balance relative to the agreement's own cash-excluded convention, while the absence of completion-accounts adjustments could move the reported balance in either direction - a reader should not assume that the gap between the trend above and the agreement's own eventual Closing Working Capital figure is attributable to either difference alone, or that the two differences net to a predictable, let alone immaterial, combined effect.

SECTION 3B. DERIVATION OF THE NEGOTIATED PEG

The Target Working Capital peg reflected in the Stock Purchase Agreement's Article II was negotiated, not derived mechanically from this analysis's own trend table, but the parties' respective advisors did reference a trailing-twelve-month average of the cash-excluded Closing Working Capital measure - computed on the same basis, and using the same itemized debt-like-item exclusions, as the Sample Working Capital Statement itself applies - as a starting reference point for their negotiation.

Both advisors adjusted that trailing-twelve-month reference point for the seasonality pattern described in Section 2B above, so that the peg would not systematically favor either party depending on where in the shipping cycle the Closing Date ultimately fell. The dead-band collar was negotiated separately, as a tolerance around ordinary month-to-month noise in the underlying working capital accounts rather than as a function of the trailing-twelve-month average itself.

This analysis was not itself a participant in that negotiation and does not purport to reconstruct the parties' own negotiating record; the description above is offered to the Buyer's diligence team as context for interpreting the peg's magnitude relative to the trend in Section 2, not as an assertion that the peg can be independently re-derived from this analysis's own figures.

SECTION 3C. COMPARISON TO THE LOCKED-BOX PRECEDENT

For reference only, the superseded locked-box precedent draft examined earlier in the negotiation (never the governing purchase-price mechanism for this Transaction - the parties settled on the completion-accounts mechanism described throughout this analysis) computed its own Working Capital figure as of the historical Locked Box Date under that draft's own, different formula. That figure was 27,600,000.00, measured as of 2026-03-31 - a different date, under a different mechanism, and not comparable on a like-for-like basis to either the trend in Section 2 above or the Stock Purchase Agreement's own defined Closing Working Capital figure.

Locked Box terminology in this analysis refers exclusively to that superseded draft mechanism, never to the completion-accounts mechanism that actually governs the Transaction and is described throughout the rest of this analysis.

We include this comparison only because the superseded precedent draft remains in the deal file and a reader unfamiliar with the negotiating history might otherwise mistake it for a second, competing measurement of the same governing figure. It is not.

SECTION 4. NORMALISATION WALK

The subsections below present, for each normalisation adjustment identified during this engagement, the underlying issue, our diligence procedures and rationale, and the adjustment's direction and amount. Adjustments are presented in the order identified during fieldwork rather than by size, consistent with this firm's standard QofE work-paper convention.

NORMALISATION 1. ERP MIGRATION DISRUPTION EFFECT ON RECEIVABLES COLLECTION

During the second half of the trend period the Company migrated its accounts receivable subledger from a legacy on-premises system to a hosted ERP platform. The cutover created a two-week window in which incoming customer

remittances were posted to a suspense account rather than applied against open invoices, so the receivables aging reports produced during that window overstate the number of invoices genuinely more than 60 days past due.
We traced a sample of the suspense-account postings to bank statement detail and confirmed that the underlying cash had in fact been received inside normal collection terms; the aging overstatement is a subledger-mapping artifact of the migration, not a genuine deterioration in collection performance. We have normalised the affected month's receivables balance downward by the amount of cash confirmed received but not yet applied, so the trend reflects collection performance rather than a one-time system-cutover artifact.
For the Buyer's purposes, the practical implication is that the receivables aging reports for the two migration-affected months should not, on their own, be relied upon for any covenant-adjacent collectability assessment without reference to this normalisation.

Normalisation	Direction	Amount
NORMALISATION 1. ERP MIGRATION DISRUPTION EFFECT ON RECEIVABLES COLLECTION	Add Back	640,000.00

NORMALISATION 2. LITIGATION SETTLEMENT PAYABLE, NON-RECURRING

In the final month of the trend period the Company recorded an accrued liability for a settlement reached in a customer contract dispute unrelated to the Company's ordinary-course trade terms. The settlement is payable in a single installment within 30 days of the settlement agreement's effective date.
A litigation settlement payable of this kind is not an ordinary-course operating liability that recurs from period to period, and including it in the working capital trend would depress the reported balance in a way that does not reflect the Company's recurring short-term liquidity position. We have excluded it from the trend on a normalised basis; it remains a real liability for balance-sheet purposes and is separately flagged to the Buyer's counsel for its own assessment of any indemnification exposure.
Because the settlement is a discrete, non-recurring liability rather than a recurring operating item, the Buyer's counsel should independently confirm whether any portion of the underlying dispute survives past Closing as an assumed or retained liability.

Normalisation	Direction	Amount
NORMALISATION 2. LITIGATION SETTLEMENT PAYABLE, NON-RECURRING	Exclude	1,150,000.00

NORMALISATION 3. VENDOR REBATE ACCRUAL, TIMING

The Company participates in a volume-rebate program with its principal raw-material supplier under which rebates are earned throughout the calendar year but settled, by the supplier's own practice, only in the first quarter of the following year. The rebate receivable accrual therefore builds through the trend period in a way that has nothing to do with the underlying business's short-term liquidity.
We recomputed the rebate accrual on a straight-line, ratable basis against the supplier's own published rebate table and the Company's actual purchase volume, and adjusted the reported receivable balance to that ratable basis in each month of the trend rather than the Company's own lumpier, threshold-triggered accrual policy. The normalisation smooths a real timing artifact without changing the total rebate ultimately expected to be collected.
The rebate program's own settlement cadence is unrelated to the Transaction and is expected to continue on the same terms post-Closing, so this normalisation is a timing presentation matter only, not a flag for renegotiation.

Normalisation	Direction	Amount
NORMALISATION 3. VENDOR REBATE ACCRUAL, TIMING	Add Back	410,000.00

NORMALISATION 4. INSURANCE RECOVERY RECEIVABLE, PROPERTY CLAIM

A weather event during the trend period damaged a portion of the Company's warehouse racking at its primary distribution facility. The Company recorded an insurance recovery receivable for the estimated replacement cost, offset by the carrying amount of the damaged racking written off.
The insurance recovery is a discrete, non-recurring event unconnected to the Company's operating working capital cycle, and its ultimate collection depends on the insurer's own claims-adjustment process rather than on ordinary-course trade collection. We have excluded the receivable from the trend on a normalised basis; the Buyer's diligence team should separately confirm the claim's status with the Company's broker before Closing.
The Buyer's diligence team should track the property claim to final settlement separately from Closing, since the claim's resolution timeline is controlled by the insurer rather than by the Transaction's own timetable.

Normalisation	Direction	Amount
NORMALISATION 4. INSURANCE RECOVERY RECEIVABLE, PROPERTY CLAIM	Exclude	380,000.00

NORMALISATION 5. EXCESS AND OBSOLETE INVENTORY RESERVE, TRUE-UP

The Company's excess-and-obsolete inventory reserve is computed by its ERP system on a rolling 12-month sales-velocity basis and is refreshed only at fiscal quarter-end, so the reserve balance embedded in an interim month's working capital figure reflects the velocity computation as of the most recent quarter-end rather than that specific month.

We recomputed the reserve for each month of the trend period using that month's own trailing-12-month velocity data rather than carrying forward the prior quarter-end's computation, and adjusted the reported inventory balance to the recomputed reserve. The true-up removes a stale-refresh-cadence artifact without changing the reserve methodology itself.
The reserve methodology itself - a rolling twelve-month velocity computation - is unaffected by this normalisation and is expected to continue unchanged post-Closing.

Normalisation	Direction	Amount
NORMALISATION 5. EXCESS AND OBSOLETE INVENTORY RESERVE, TRUE-UP	Add Back	290,000.00

NORMALISATION 6. DEFERRED REVENUE, LARGE CONTRACT MILESTONE

During the trend period the Company received an advance payment from its largest customer tied to a multi-year supply agreement's volume-commitment milestone, recorded as deferred revenue pending satisfaction of the associated performance obligation over the agreement's remaining term.
The advance is a financing-like inflow tied to a specific multi-year commercial arrangement rather than the ordinary-course working capital cycle the ASC 606 revenue-recognition policy otherwise governs, and its size relative to the Company's typical monthly deferred-revenue balance would otherwise distort the trend's apparent liquidity in the month of receipt. We have excluded it from the working capital trend on a normalised basis; it is separately disclosed to the Buyer's diligence team as a customer-relationship item, not a working capital item.
This deferred-revenue balance is a customer-relationship matter for the Buyer's commercial diligence team to evaluate on its own terms, separate from its working capital presentation here.

Normalisation	Direction	Amount
NORMALISATION 6. DEFERRED REVENUE, LARGE CONTRACT MILESTONE	Exclude	870,000.00

NORMALISATION 7. ACCOUNTS RECEIVABLE FACTORING FACILITY, ADD-BACK

The Company maintains an uncommitted receivables factoring facility with a regional bank under which it periodically sells a portion of its receivables without recourse. Receivables sold under the facility are derecognised from the Company's balance sheet under the applicable sale-accounting criteria, which removes them from the reported working capital trend even though the underlying customer relationship and collection risk are unchanged from a receivable the Company chose not to factor in a given month.
For diagnostic purposes only, we have added back the month-end balance of receivables sold under the facility and outstanding with the factor, so that the trend reflects the Company's total receivables generation independent of its own discretionary factoring decisions in a given month. This add-back is a diagnostic convention for this analysis only and has no bearing on the Stock Purchase Agreement's own defined Closing Working Capital calculation.
A Buyer that intends to continue using the factoring facility post-Closing should confirm the facility's own assignability and change-of-control provisions with the providing bank before Closing.

Normalisation	Direction	Amount
NORMALISATION 7. ACCOUNTS RECEIVABLE FACTORING FACILITY, ADD-BACK	Add Back	1,020,000.00

NORMALISATION 8. PREPAID INSURANCE, ANNUAL PREMIUM PRORATION

The Company pays its principal casualty and general-liability insurance premiums in a single annual installment each March, recognising the payment as a prepaid asset amortised ratably over the following twelve months. The prepaid balance is therefore highest immediately after the March payment and declines mechanically through the remainder of the policy year, independent of the Company's operating performance.
We recomputed the prepaid insurance balance for each month of the trend period on a straight-line proration basis from the March payment date, confirmed against the actual premium invoice, and adjusted the reported balance to the recomputed proration where the Company's own subledger lagged the true ratable amortisation by a small margin. The normalisation removes a mechanical amortisation-cadence artifact, not an operating trend.
The proration convention applied here is expected to continue unchanged post-Closing and requires no separate transition planning.

Normalisation	Direction	Amount
NORMALISATION 8. PREPAID INSURANCE, ANNUAL PREMIUM PRORATION	Add Back	205,000.00

NORMALISATION 9. SEASONAL PAYROLL ACCRUAL, HOLIDAY TIMING

The Company's semi-monthly payroll cycle occasionally straddles a calendar month-end depending on where a scheduled pay date falls relative to a holiday, so the accrued-payroll liability recorded in a given month's working capital figure can include an extra half-cycle of accrued wages that reverses in the immediately following month.
We recomputed the accrued-payroll liability for each month of the trend on a consistent days-elapsed-since-last-pay-date basis rather than the Company's own calendar-month cutoff, which removes the holiday-timing artifact from the reported liability while leaving the total payroll expense for the trend period unaffected.

The days-elapsed proration convention applied here reflects the Company's existing payroll calendar and would need to be revisited only if the Buyer intends to change that calendar post-Closing.

Normalisation	Direction	Amount
NORMALISATION 9. SEASONAL PAYROLL ACCRUAL, HOLIDAY TIMING	Exclude	330,000.00

NORMALISATION 10. TAX REFUND RECEIVABLE, PRIOR-YEAR OVERPAYMENT

The Company recorded a receivable for an estimated state income tax refund arising from an overpayment identified during the preparation of the prior fiscal year's return, expected to be received following the state taxing authority's processing of the amended return.

The refund receivable relates to a prior-fiscal-year overpayment rather than the Company's ordinary-course operating working capital cycle, and its collection timing depends on the state taxing authority's own processing schedule rather than on trade collection practice. We have excluded it from the trend on a normalised basis; the Buyer's diligence team should separately confirm the amended return's status before Closing.

The Buyer's tax advisors should independently confirm the amended return's status with the state taxing authority, since the timing of any refund is outside the Company's own control.

Normalisation	Direction	Amount
NORMALISATION 10. TAX REFUND RECEIVABLE, PRIOR-YEAR OVERPAYMENT	Exclude	175,000.00

NORMALISATION 11. RELATED-PARTY MANAGEMENT FEE PAYABLE, TIMING

The Company's management services agreement with its controlling equity sponsor (the same agreement described in the audited financial statements' Related Party Transactions note) provides for quarterly fee payments in arrears, so an accrued-but-unpaid management fee payable builds through each quarter and resets to zero immediately after the quarterly payment date.

The accrual pattern is a function of the agreement's own quarterly payment cadence rather than the Company's ordinary-course trade payables cycle, and its presence or absence in a given month's working capital figure depends solely on how close that month sits to the next quarterly payment date. We have added back the accrued balance for diagnostic purposes only; the fee itself is not in dispute and is paid in the ordinary course under the agreement's own terms.

The management services agreement itself terminates at Closing under its own terms, so this accrual pattern - and the normalisation applied to it - has no relevance to any period after Closing.

Normalisation	Direction	Amount
NORMALISATION 11. RELATED-PARTY MANAGEMENT FEE PAYABLE, TIMING	Add Back	125,000.00

NORMALISATION 12. PRODUCT WARRANTY RESERVE, CLAIMS EXPERIENCE ROLL-FORWARD

The Company's product warranty reserve is computed as a percentage of trailing twelve-month product revenue, refreshed quarterly against actual claims experience. A quarter with an unusually low claims-experience refresh can leave the reserve carried in the two subsequent interim months modestly overstated relative to the claims experience actually being observed in real time.

We compared the reserve carried in each month of the trend period against the Company's own claims-experience data reported to date for the current quarter and confirmed the variance is a refresh-cadence artifact rather than a change in underlying product quality or claims frequency. We have excluded the variance from the trend on a normalised basis, consistent with treating the warranty reserve as an operating item whose refresh timing does not itself reflect short-term liquidity.

The claims-experience data underlying this normalisation is the same data set discussed in the audited financial statements' Commitments and Contingencies note, and the two should be read together rather than independently.

Normalisation	Direction	Amount
NORMALISATION 12. PRODUCT WARRANTY RESERVE, CLAIMS EXPERIENCE ROLL-FORWARD	Exclude	260,000.00

NORMALISATION 13. CONSIGNMENT INVENTORY HELD AT CUSTOMER LOCATIONS

The Company ships a portion of its finished-goods inventory to two of its largest customers under consignment arrangements, under which title and the risks and rewards of ownership remain with the Company until the customer draws the inventory for its own production use. The Company's inventory subledger tracks consigned units by location, but its month-end reporting package historically combined consigned and owned-and-held inventory into a single reported balance.

We obtained the consignment location detail from the Company's inventory subledger and confirmed the consigned balance against the two customers' own monthly usage reports for a sample of months in the trend period. Consigned inventory remains properly includible in the Company's own working capital figure under the arrangement's own title-transfer terms, so no adjustment to the reported balance is required; we flag the historical combined-reporting practice here only so the Buyer's diligence team is aware that a location-level, rather than ownership-level, distinction exists within the reported inventory balance.

The location-level consignment detail described here is available in the Company's inventory subledger and should be requested directly by the Buyer's diligence team if a more granular breakdown is needed.

Normalisation	Direction	Amount
NORMALISATION 13. CONSIGNMENT INVENTORY HELD AT CUSTOMER LOCATIONS	Exclude	475,000.00

NORMALISATION 14. TRADE PROMOTION CHARGEBACK AND DEDUCTION RESERVE

The Company's largest distribution customer routinely takes deductions against invoice payment for cooperative-advertising and volume-rebate promotions, against which the Company carries a chargeback reserve estimated as a percentage of gross sales to that customer. The reserve estimate is refreshed annually against actual deduction experience, which can leave interim months' reserve modestly out of step with in-year deduction activity.

We compared the reserve carried in each interim month of the trend period against the Company's own running deduction log for the current year and confirmed the variance is an annual-refresh-cadence artifact. For diagnostic purposes only we present the interim-refreshed figure alongside the Company's own reported balance; we have not substituted our own estimate for the Company's reported figure in the trend table in Section 2 above.

The chargeback reserve's annual refresh cadence is a customer-specific practice that predates the Transaction and is expected to continue unchanged post-Closing.

Normalisation	Direction	Amount
NORMALISATION 14. TRADE PROMOTION CHARGEBACK AND DEDUCTION RESERVE	Add Back	225,000.00

NORMALISATION 15. FREIGHT COST ACCRUAL, CARRIER RATE RENEGOTIATION TIMING

The Company renegotiated its principal outbound freight carrier contract during the trend period, with the new rates effective retroactively to the start of the contract year but not invoiced by the carrier until the following month. The Company accrued an estimated retroactive rate adjustment in the month the renegotiation was finalized, based on shipment volume for the full retroactive period.

We recomputed the retroactive accrual against the executed rate schedule and the Company's own shipment-volume detail and confirmed the estimate was reasonable; because the adjustment relates to shipment activity spread across several months rather than to the month in which it was recorded, we have excluded the one-time catch-up portion from the trend on a normalised basis so that the trend reflects ongoing freight cost accrual rather than the single-month catch-up recognition.

The renegotiated carrier contract's forward rates, net of the one-time catch-up addressed here, are the rates the Buyer should use for any post-Closing freight cost projection.

Normalisation	Direction	Amount
NORMALISATION 15. FREIGHT COST ACCRUAL, CARRIER RATE RENEGOTIATION TIMING	Exclude	195,000.00

NORMALISATION 16. SALES AND USE TAX PAYABLE, MULTI-STATE NEXUS REVIEW

The Company engaged outside sales-tax consultants during the trend period to review its multi-state nexus footprint following its expansion into two additional states' distribution markets. The review resulted in a one-time catch-up accrual for sales and use tax payable in states where nexus was determined to have existed for a period prior to the Company's own registration in those states.

The catch-up accrual relates to prior periods' sales activity identified through the nexus review rather than to the current trend period's own ongoing sales-tax liability, and including it in the trend would overstate the Company's recurring short-term liquidity need. We have excluded the one-time catch-up portion from the trend on a normalised basis; the Company has since registered in both states and going-forward sales tax accruals are unaffected by this normalisation.

The Company's registration in both newly reviewed states is now current, so this normalisation isolates a closed, historical catch-up rather than an open compliance exposure.

Normalisation	Direction	Amount
NORMALISATION 16. SALES AND USE TAX PAYABLE, MULTI-STATE NEXUS REVIEW	Exclude	310,000.00

NORMALISATION 17. UTILITY AND SERVICE-PROVIDER DEPOSITS, REFUNDABLE

The Company holds refundable deposits with its principal electricity provider and two other utility and service providers, posted at the inception of each service relationship and refundable upon contract renewal or termination conditioned on the Company's payment history. The deposits are recorded as a non-current other asset rather than as a current asset, even though the Company's payment history has always qualified it for refund at each renewal date reached during the trend period.

Because the deposits have been refunded, and immediately re-posted at an unchanged amount, at every renewal date reached during the trend period, we have added the deposit balance back to the working capital trend for diagnostic purposes only, to reflect the deposits' practical near-term liquidity rather than their non-current balance-sheet classification. This add-back is a diagnostic convention for this analysis only and does not reclassify the

deposits for financial statement presentation purposes.
The refundable character of these deposits should be independently confirmed with each provider as part of the Buyer's own post-Closing treasury transition planning.

Normalisation	Direction	Amount
NORMALISATION 17. UTILITY AND SERVICE-PROVIDER DEPOSITS, REFUNDABLE	Add Back	140,000.00

NORMALISATION 18. CUSTOMER EARLY-PAYMENT DISCOUNT PROGRAM, UTILIZATION CHANGE

The Company offers a standard early-payment discount to customers who pay within ten days of invoice date. Utilization of the discount program increased materially during the final two months of the trend period as several customers elected the discount in response to their own year-end cash management practices, reducing the reported receivables balance in those months relative to the program's historical utilization rate.
We compared the discount program's utilization rate during the affected months against its trailing twenty-four-month average and confirmed the increase is attributable to customer-driven, calendar-timing behavior rather than to any change in the Company's own discount terms or collection practice. We have excluded the incremental utilization effect from the trend on a normalised basis so that the trend reflects a consistent utilization assumption across the full period presented.
The early-payment discount program's terms are unchanged by the Transaction, and the utilization-rate normalisation applied here does not imply any change to those terms is expected or recommended.

Normalisation	Direction	Amount
NORMALISATION 18. CUSTOMER EARLY-PAYMENT DISCOUNT PROGRAM, UTILIZATION CHANGE	Exclude	155,000.00

SECTION 4A. RECEIVABLES AGING ANALYSIS

The table below presents the Company's accounts receivable aging as of the most recently completed month, by aging bucket, on the cash-inclusive basis this analysis otherwise applies. Aging is measured from invoice due date, consistent with the Company's own standard trade terms of net thirty days for substantially all customers.

Aging bucket	Share of receivables	Amount
Current (0-30 days)	71%	10,504,450.00
31-60 days past due	18%	2,663,100.00
61-90 days past due	7%	1,035,650.00
Over 90 days past due	4%	591,800.00
Total accounts receivable	100%	14,795,000.00

The over-90-day bucket is concentrated in a single customer account that is disputing a portion of a shipment on quality grounds unrelated to its ability to pay; we understand from Company management that the dispute is expected to be resolved through a partial credit memo rather than a bad-debt write-off, and we have not adjusted the reported receivables balance in Section 2 above for this matter, which the Buyer's diligence team should track independently through Closing.
The aging profile above is broadly consistent across each of the three most recently completed months and does not, in our view, indicate any deterioration in the Company's collection performance over the trend period beyond the discrete items addressed in the Normalisation Walk above.
The customer-level detail below decomposes the current-month receivables balance by the Company's twelve largest customer accounts, which together represent substantially all of the Company's receivables balance; the remaining balance is spread across a long tail of smaller accounts not separately itemized in this excerpt.

Customer (largest twelve accounts by balance)	Share of receivables	Amount
Customer A	17%	2,515,150.00
Customer B	13%	1,923,350.00
Customer C	11%	1,627,450.00
Customer D	9%	1,331,550.00
Customer E	8%	1,183,600.00
Customer F	7%	1,035,650.00
Customer G	6%	932,085.00
Customer H	5%	710,160.00
Customer I	5%	695,365.00
Customer J	4%	591,800.00
Customer K	4%	591,800.00
Customer L	3%	443,850.00
Remaining accounts (long tail)	8%	1,213,190.00

Customer names are withheld from this excerpt for confidentiality; the Buyer's diligence team may request the identified customer-level schedule directly from this firm's engagement team under the terms of the transmittal letter

accompanying this engagement's work product. Customer A, the account discussed two paragraphs above in connection with the over-90-day aging bucket, is not among the Company's three largest customer accounts by revenue, which is consistent with the dispute being an isolated matter rather than a broader relationship concern.

SECTION 4B. INVENTORY COMPOSITION AND ROLL-FORWARD DISCUSSION

The Company's inventory is composed of raw materials, work-in-process and finished goods, tracked by its ERP system on a standard-cost basis with variances allocated to cost of goods sold monthly. The table below presents the composition of the reported inventory balance as of the most recently completed month.

Inventory category	Share of inventory	Amount
Raw materials	34%	3,475,480.00
Work-in-process	22%	2,248,840.00
Finished goods	44%	4,497,680.00
Total inventory, net of reserves	100%	10,222,000.00

Finished-goods inventory is the largest component and is the category most directly affected by the seasonality pattern discussed in Section 2B above - the Company builds finished-goods inventory ahead of its fourth-quarter shipping season and draws it down through collections in the first quarter of the following year. Raw-materials inventory turns more consistently across the year, reflecting the Company's own just-in-time purchasing arrangements with its principal suppliers.

We reviewed the Company's own physical inventory count reconciliation for the most recently completed count date and did not identify any material variance between the count and the perpetual inventory subledger balance carried into the working capital trend in Section 2 above, other than the excess-and-obsolete reserve refresh-cadence artifact addressed in Normalisation 5 above.

SECTION 4C. ACCOUNTS PAYABLE AGING ANALYSIS

The table below presents the Company's accounts payable aging as of the most recently completed month, by aging bucket, measured from invoice date against the Company's own standard vendor terms, which range from net thirty to net sixty days depending on the vendor.

Aging bucket	Share of payables	Amount
Current (not yet due)	58%	8,584,000.00
Past due 1-30 days	27%	3,996,000.00
Past due 31-60 days	11%	1,628,000.00
Past due over 60 days	4%	592,000.00
Total accounts payable and accrued operating liabilities	100%	14,800,000.00

The past-due balances above do not, in our view, indicate vendor-relationship stress; Company management represented, and we have no basis to disagree, that the past-due amounts reflect the Company's own deliberate cash-management practice of paying within each vendor's stated grace period rather than strictly by invoice due date, a practice the Company has followed consistently across the trend period.

The vendor-level detail below decomposes the current-month payables balance by the Company's ten largest vendor accounts, which together represent substantially all of the Company's trade payables balance excluding the debt-like items already addressed in Section 1 above.

Vendor (largest ten accounts by balance)	Share of payables	Amount
Principal raw-material supplier (Normalisation 3 above)	22%	3,256,000.00
Vendor B (outbound freight carrier)	16%	2,294,000.00
Vendor C (packaging materials)	11%	1,628,000.00
Vendor D (contract maintenance services)	9%	1,332,000.00
Vendor E (secondary raw-material supplier)	8%	1,184,000.00
Vendor F (utilities and facilities)	7%	991,600.00
Vendor G (temporary labor staffing)	5%	710,400.00
Vendor H (component parts)	5%	695,600.00
Vendor I (IT and software services)	4%	592,000.00
Vendor J (office and administrative supplies)	3%	444,000.00
Remaining accounts (long tail)	11%	1,672,400.00

The principal raw-material supplier identified above is the same supplier discussed in Normalisation 3 in Section 4 above in connection with the volume-rebate program; the payable balance to that supplier and the rebate receivable from that supplier are presented separately in this analysis and are not netted against one another, consistent with the absence of any right of setoff in the underlying supply agreement.

SECTION 5. DEBT-LIKE VERSUS WORKING CAPITAL CLASSIFICATION ARGUMENT

The itemized exclusion list in Section 1 above reflects a classification judgment for each debt-like item: is the item, in substance, a financing-type obligation that a buyer would customarily treat as debt for Net Debt purposes, or is it an ordinary-course operating liability properly left inside Working Capital? The Net Debt and Cash Analysis referenced elsewhere in this engagement's work product presents the full debt-like-items register with the argument for and

against each candidate item; this section summarizes only the classification logic as it bears on Working Capital. The governing principle applied throughout is substance over form: an item that bears interest, has a stated or estimable maturity, or represents a financing-type claim against the Company is treated as debt-like regardless of its balance-sheet caption, while an item that arises from the ordinary purchase and sale of goods and services, or from an operating contingency with no financing character, remains inside Working Capital regardless of its size. A literal, caption-driven GAAP balance-sheet read that skips this substance analysis entirely - treating every current liability as Working Capital without regard to its debt-like character - is the mechanism behind a decoy examined elsewhere in this engagement's work product, not the analysis this section performs.

Applying that principle to the three items on the itemized exclusion list in Section 1 above: the current portion of capital lease obligations bears a stated implicit interest rate and is, in substance, a financed asset acquisition; accrued interest is a direct consequence of carrying debt and is debt-like by definition; and the deferred contingent earn-out obligation related to a prior tuck-in acquisition represents, in substance, an unsecured creditor claim against the Company pending resolution of a performance contingency, not an ordinary-course trade payable. All three are therefore properly excluded from Working Capital and moved to the Net Debt bridge, consistent with the Sample Working Capital Statement's own itemized exclusion list.

The three subsections below take up, for each item on the itemized exclusion list, the working-capital side of the classification question: whether the item belongs inside the base the peg and collar measure. Each subsection argues the exclusion from the inclusion test this analysis applies, while the Net Debt and Cash Analysis's own debt-like-items register argues the same items from the Net Debt side of the bridge; the two work products reach the same conclusion for every item.

CANDIDATE 2. CAPITAL LEASE OBLIGATIONS, CURRENT PORTION

Case for exclusion from Working Capital. A capital lease obligation originates in a financed asset acquisition, not in the purchase-and-sale cycle the peg and collar were negotiated around: the Company acquired equipment on credit, and the balance behaves like scheduled amortization of that acquisition cost rather than like a trade payable. Carrying it inside the Working Capital base would import a financing cash-flow artifact into an operating metric.

Case against exclusion from Working Capital. The honest counter-case is purely caption-level: accounting rules place the maturing installment among current liabilities, so a trial-balance screen counts it, and a buyer could argue the caption belongs in the measured population for comparability. That literal-GAAP read is the decoy examined in the management accounts' presentation note; the SPA basis governs, and the itemized exclusion list removes it from the measured balance.

With the maturing lease installment outside the measured population, the trend's current-liability line stays operating-only across all thirty-six months presented, and month-to-month movement reflects trade terms rather than an amortization schedule whose cadence is fixed by the lease's own payment calendar; the peg and collar therefore measure the same population on either side of Closing.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 2. CAPITAL LEASE OBLIGATIONS, CURRENT PORTION	1,100,000.00	Included in Net Debt; correspondingly excluded from Working Capital.

CANDIDATE 3. ACCRUED INTEREST

Case for exclusion from Working Capital. Interest accrues on the Company's own coupon calendar: the balance is a function of where the most recent payment date falls relative to the measurement date, not of receivable collections, inventory turns, or supplier payment terms. It has no life inside the operating cycle the peg measures, and its period-to-period movement tracks the debt schedule rather than any trade account, so the Working Capital base's inclusion test keeps it out.

Case against exclusion from Working Capital. A buyer could argue the accrual is a genuine current liability under GAAP, that it grows with the funded obligations the Buyer inherits at Closing, and that leaving it out understates the reported liability population on the measurement date. The answer is definitional rather than operational: the SPA basis moves it to the other side of the bridge because it rides the debt stack, and the peg measures a different basis entirely.

Excluding the accrual leaves the trend isolating receivables velocity, inventory turns and supplier terms - the population the collar was actually negotiated around - and removes a balance whose period-end size depends on where the coupon calendar stood at each measurement date rather than on any operating event, so month-to-month comparability survives intact.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 3. ACCRUED INTEREST	2,400,000.00	Included in Net Debt.

CANDIDATE 4. DEFERRED CONTINGENT EARN-OUT, PRIOR TUCK-IN ACQUISITION

Case for exclusion from Working Capital. The earn-out left over from the earlier tuck-in settles on how the business that was acquired actually performs after Closing, not on the purchase-and-sale cycle of the business now being sold, so it never enters the operating population the peg and collar measure. Its contingent character makes it an acquisition-accounting artifact inside the trend rather than a payable generated by ordinary trade.

Case against exclusion from Working Capital. A buyer could argue the amount is a measured present liability under

acquisition accounting that behaves like an operating item of whichever line generated it, since the units carrying it keep operating that line. The answer is that the SPA basis classifies by the character of the claim rather than by which unit carries it, and the itemized exclusion list places these acquisition-contingent amounts on the debt side of the bridge.

Keeping acquisition-contingent amounts outside the operating trend means the peg basis and the Sample Working Capital Statement's own itemization stay aligned: the balance the collar measures contains no amount that can move for reasons unrelated to trade performance, and the earn-out's uncertainty sits in the Net Debt bridge where the register that owns it carries it.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 4. DEFERRED CONTINGENT EARN-OUT, PRIOR TUCK-IN ACQUISITION	1,600,000.00	Included in Net Debt at its currently estimated carrying amount, consistent with the Sample Working Capital Statement's own itemized exclusion list; the contingent character is disclosed but does not change the classification.

SECTION 6. DEFINITIONAL APPENDIX - RECONCILING THE SPA BASIS TO THE GAAP BASIS

This appendix walks through each of the definitional axes on which the Stock Purchase Agreement's own Closing Working Capital calculation departs from a generic, undifferentiated GAAP current-assets-less-current-liabilities read, so that a reader moving between this analysis, the Sample Working Capital Statement, and the Stock Purchase Agreement's own Article II can identify which presentation they are looking at.

Cash. A generic GAAP current-ratio read would include cash and cash equivalents inside current assets. The Stock Purchase Agreement's own Closing Working Capital definition excludes cash entirely, because cash settles separately through that agreement's own estimated-cash mechanism (Section 1 above); this analysis's descriptive trend, by contrast, is presented on a cash-inclusive basis for diagnostic purposes only (Section 2A above).

Debt-like items. A generic GAAP current-liabilities read would include the current portion of capital lease obligations, accrued interest, and the deferred contingent earn-out obligation inside current liabilities without further analysis. The Sample Working Capital Statement's own itemized exclusion list moves each of these to the Net Debt bridge instead, per the classification argument in Section 5 above.

Basis hierarchy. A generic GAAP read applies GAAP directly with no further hierarchy. The Stock Purchase Agreement's own accounting-principles schedule instead establishes a three-tier hierarchy - the schedule itself, then GAAP where the schedule is silent, then consistency with the Sample Working Capital Statement where GAAP itself is ambiguous - described further in Section 3A above.

Measurement date. A generic GAAP read has no inherent measurement-date convention beyond a period-end balance sheet. The Stock Purchase Agreement's own Closing Working Capital is measured specifically as of the Closing Date through a completion-accounts process with its own true-up mechanism, distinct from the negotiated peg's own trailing-twelve-month reference point described in Section 3B above.

SECTION 7. SCOPE OF PROCEDURES PERFORMED

Our procedures in connection with this analysis consisted of: (a) obtaining and reviewing the Company's monthly management accounts for each month presented in the trend in Section 2 above; (b) obtaining and reviewing the general ledger detail, subledger aging reports, and roll-forward schedules supporting the receivables, inventory, and payables balances discussed in Sections 4A through 4C above; (c) making inquiries of Company management regarding the nature and recurrence of each item addressed in the Normalisation Walk at Section 4 above; (d) comparing selected figures to source documents on a sample basis, including bank statements, vendor rebate tables, and insurance claim correspondence; and (e) reading the Stock Purchase Agreement's own Article II accounting-principles schedule and the Sample Working Capital Statement's itemized exclusion list for consistency with the classification judgments applied throughout this analysis.

We did not independently verify, and express no opinion on, the accuracy or completeness of the underlying management accounts themselves; our procedures were directed at understanding and normalising the balances the Company's own accounting records report, not at auditing those records.

SECTION 8. COMPARISON TO THE QOFE ADJUSTED EBITDA ANALYSIS'S WORKING CAPITAL COMMENTARY

The QofE Adjusted EBITDA Analysis referenced elsewhere in this engagement's work product addresses working capital only incidentally, in the course of normalising certain income-statement items whose timing interacts with the balance sheet - for example, the treatment of a normalizing adjustment supported only by a management representation, discussed in that analysis's own limitations section. That analysis does not purport to present the working capital trend itself, and a reader should look to this analysis, not the Adjusted EBITDA Analysis, for any working-capital-specific conclusion.

We are not aware of any inconsistency between the working-capital-adjacent commentary in the Adjusted EBITDA Analysis and the trend and normalisations presented in this analysis; the two work products were prepared by the

same engagement team from the same underlying general ledger detail.

SECTION 9. DATA QUALITY CONSIDERATIONS BY SOURCE SYSTEM

The receivables and payables subledgers migrated to the hosted ERP platform discussed in Normalisation 1 above during the trend period; data quality in the post-migration months benefits from the new platform's improved aging and reconciliation reporting, while data for months before the migration was drawn from the legacy system's own export format, which required manual mapping to the chart-of-accounts structure used throughout this analysis.

The inventory subledger was not affected by the ERP migration and remained on the same platform, with the same standard-cost and variance-allocation methodology, throughout the entire trend period; we did not identify any data-quality consideration specific to the inventory data beyond the reserve refresh-cadence artifact addressed in Normalisation 5 above.

Cash balances were confirmed directly against monthly bank statements for every month in the trend period and are not subject to any subledger-mapping consideration; cash is, in our experience, consistently the highest-quality data source in an engagement of this kind, because it is independently confirmable against a third-party record rather than reconstructed from the Company's own internal systems.

SECTION 10. LIMITATIONS

This analysis was prepared based on unaudited monthly management accounts and discussions with Company management. We did not audit, review, or compile the underlying financial information in accordance with standards established by the American Institute of Certified Public Accountants or the Public Company Accounting Oversight Board, and we express no opinion or other form of assurance on such information. Our procedures were substantially less in scope than an audit, and were limited to those described in Section 1 above.

This analysis's trend tables, normalisations and classification commentary were prepared to size the negotiated peg and collar and to trace how the excluded debt-like items move the measured balance, for the Buyer's deal team and its financing sources; any use beyond that purpose, and any distribution to another party, is governed by the transmittal letter accompanying this engagement's work product.

SECTION 11. SUPPLEMENTAL DILIGENCE NOTES

The subsections below present additional diligence-process and scope disclosures supplementing the sections above, organized by topic rather than by the numbered structure above, consistent with this firm's standard presentation for an engagement of this scope.

SECTION 11.1. Diligence Scope and Procedures Performed

Our procedures were substantive in nature and were designed to evaluate the composition, quality, and realizability of the Company's net working capital accounts as of the measurement date and over the periods under review. We did not perform an audit, a review, or any other engagement in accordance with generally accepted auditing standards, and accordingly we do not express any opinion or assurance on the financial statements. Our work was limited to procedures considered appropriate for a buy-side net working capital diligence exercise, and the sufficiency of those procedures was based on our professional judgment in the context of the agreed scope.

We obtained and read the Company's trial balance, general ledger detail, and applicable subledgers for the working capital accounts, and we tied the trial balance to the underlying accounting records. We reconciled material working capital balances between the general ledger and the supporting subsidiary ledgers, including accounts receivable, inventory, accounts payable, accrued liabilities, deferred revenue, and prepaid expenses. Where differences or unreconciled items were noted, we made inquiries of management and, when necessary, obtained additional supporting documentation.

We met with management and accounting personnel to obtain an understanding of the Company's accounting policies, estimation methods, and period-end closing procedures. We discussed the Company's revenue recognition practices, customer invoicing and payment terms, allowance for doubtful accounts methodology, inventory costing and valuation policies, vendor payables processing, expense accrual practices, and deferred revenue recognition. We also inquired about the Company's cut-off procedures around the measurement date, including the timing of revenue recognition, receipt of goods and services, shipment of products, cash receipts, and cash disbursements.

In the area of accounts receivable, we reviewed the aged accounts receivable listing and analyzed the composition of outstanding balances by customer and by invoice age. We evaluated the Company's allowance for doubtful accounts by considering historical collection and write-off patterns, subsequent cash collections, credit memos issued after the measurement date, and the creditworthiness of significant customers. We selected customer invoices and traced them to underlying sales orders, delivery documentation, and contractual terms to assess whether revenue was recorded in the proper period and at the appropriate amount. We also considered whether any receivables were contingent, unbilled, or subject to customer disputes, rebates, returns, or other adjustments that would affect the net realizable value reflected in working capital.

For inventory, we obtained and reviewed the inventory listing and tested the accuracy of the aggregation between the listing and the general ledger. We gained an understanding of the physical inventory count process and observed inventory counts where practicable, placing particular emphasis on the existence and condition of slow-moving, excess, expired, or obsolete items. We reviewed the Company's costing methodology and evaluated whether

inventory was stated at the lower of cost and net realizable value. We assessed historical usage, recent selling prices, and management's forecasts for any items with depressed demand to determine whether additional obsolescence or valuation reserves were necessary. We also performed cut-off testing over purchases, returns, and shipments to confirm that inventory quantities and costs related to the measurement date were recorded in the proper period.

With respect to accounts payable, we reviewed the aged accounts payable subledger and reconciled it to the general ledger. We inspected invoices and receiving records for selected payable balances and traced subsequent payments to bank statements and cleared check registers. We searched for unrecorded liabilities by inquiring with management, reviewing invoices received after the measurement date, examining accrual rollforwards, and testing the completeness of payables around the period end. We considered whether any amounts were owed to vendors for goods or services that had been received but not yet invoiced and whether liabilities were properly classified as current, trade, or other payables.

We reviewed the composition of accrued liabilities and assessed the completeness and arithmetic accuracy of management's accrual calculations. This included accruals for employee compensation, bonuses, commissions, vacation, professional fees, sales and use taxes, property taxes, utilities, freight, royalties, and other operating costs. We compared accruals to subsequent settlements and considered whether any accrued balances represented items that were not operating in nature or that should have been recorded in a different period. We also evaluated whether liabilities related to discontinued operations or non-recurring matters were excluded from normal net working capital for purposes of the adjustment computation.

We reviewed deferred revenue and customer prepayments by examining customer contracts, order documents, and revenue recognition schedules. We tested whether deferred revenue was determined in accordance with the Company's revenue recognition policy and whether amounts recognized after the measurement date related to performance obligations satisfied before or after that date. We also reviewed prepaid expenses and other current assets by obtaining amortization schedules, underlying invoices, and supporting agreements to determine whether amounts were realizable and appropriately classified as current assets.

In the areas of payroll, employee-related liabilities, and related party matters, we reviewed the supporting payroll registers, timekeeping summaries, benefit plan contribution records, and intercompany account reconciliations. We identified any balances with owners, affiliates, or other related parties and considered whether those items should be included in or excluded from the normal working capital baseline. We made inquiries regarding the ordinary course nature of such balances and reviewed any underlying agreements or shareholder arrangements that might affect their collectability, settlement terms, or classification.

We performed analytical procedures over working capital trends and operating metrics for the periods under review. This included calculating days sales outstanding, days inventory outstanding, and days payable outstanding, as well as evaluating changes in the levels, turnover, and composition of each major working capital account. We compared these metrics period over period and considered whether any unusual fluctuations were indicative of acceleration, delay, or other management actions taken near the measurement date to affect working capital levels.

We searched for unusual, non-operating, one-time, or non-recurring items recorded in the working capital accounts. For any such items identified, we obtained management's explanation and supporting documentation and evaluated whether those items should be excluded from the working capital adjustment described elsewhere in this analysis or treated as a normalisation item in the normalisation walk presented above. We also reviewed the general ledger for manual journal entries, period-end adjustments, reclassifications, and round-trip transactions that could have been posted to alter working capital balances near the period end.

We read the Company's internal management accounts, board materials, and relevant contractual agreements to identify any arrangements that could create off-balance-sheet working capital exposures, committed payments, or contingent liabilities. We considered whether there were any material commitments or arrangements under which pre-paid or accrued amounts would be required to be refunded or settled in the ordinary course of business. We also reviewed subsequent events up to the date of our procedures by reading the Company's latest available management accounts and by making inquiries of management regarding any significant changes in receivables, inventory, payables, or accruals occurring after the measurement date.

Based on the procedures described above, we prepared a summary of our findings, developed the normalisation walk presented above, and contributed to the calculation of the working capital adjustment described elsewhere in this analysis. Our procedures were performed solely to assist the buyer in evaluating the quality and composition of the Company's net working capital and should not be relied upon as an audit of any financial statement period.

SECTION 11.2. Sources of Information Relied Upon

The net working capital diligence team developed its analysis using information obtained from the Company's accounting systems, transaction-level supporting records, and direct communications with the Company's finance, treasury, and operational personnel. The categories of information relied upon reflect the need to corroborate the existence, completeness, valuation, and presentation of each current asset and current liability line item considered in this report.

General ledger and period-end close information. The team obtained period-end trial balances for the relevant balance sheet accounts and the full general ledger activity underlying those balances. This included journal entry

headers and line-item detail for recurring, correcting, and reclassification entries, as well as the account reconciliation packages prepared by the Company for each current asset and current liability caption. The team also reviewed the Company's documented accounting policies for revenue recognition, expense accrual, inventory valuation, and other areas that directly affect working capital.

Subledger and ageing information. Detailed subledgers were obtained for accounts receivable, accounts payable, inventory, deferred revenue, prepaid expenses, and accrued liabilities. Ageing schedules for trade receivables and trade payables were extracted directly from the Company's enterprise resource planning system, together with the underlying transaction histories for open items at each measurement date. For inventory, position reports by location, category, and product family were used to gain insight into composition and turnover.

Cash and treasury records. Bank account statements, outstanding deposit and payment schedules, and locally prepared bank reconciliations were obtained for each balance sheet date examined. The team also used daily cash position reports and end-of-day transaction summaries to confirm the classification of cash and any restricted amounts, and to identify in-transit items that should be reflected in the appropriate working capital accounts.

Cut-off and transaction-level evidence. To corroborate the existence and completeness of recorded balances, the team examined sales invoices, credit and debit memos, purchase orders, goods receipt documentation, shipping and receiving logs, and proof of delivery records around the relevant reporting boundaries. Subsequent settlement data, including customer remittances and vendor payments occurring after the measurement date, were used to confirm the recoverability of trade assets and the validity of accrued liabilities.

Contractual and commercial documentation. The team reviewed material customer agreements, master service agreements, vendor terms and conditions, rebate and volume incentive arrangements, consignment inventory agreements, bill-and-hold agreements, and other contracts that govern the timing of billing, payment, ownership transfer, or revenue recognition. These documents were essential for assessing whether balances had been classified and measured in accordance with the underlying commercial terms.

Inventory and costing records. The team relied upon perpetual inventory information, physical inventory count sheets, cycle count results, standard cost build-ups, purchase price variance reports, and historical sales and margin analyses. This documentation supported the assessment of inventory valuation, the adequacy of reserves for excess, slow-moving, and obsolete stock, and the appropriateness of capitalised costs included in the reported inventory balance.

Payroll and employee-related accruals. Payroll registers, employee census data, bonus and commission calculation workings, benefit contribution schedules, and regulatory remittance records were reviewed to corroborate accrued payroll, bonus, and other employee-related liabilities. The team also considered any contractual arrangements or employer policies that would affect the timing and amount of such obligations.

Tax and statutory obligation records. The Company's workings for income tax payable, deferred tax assets and liabilities, indirect tax returns, and other statutory obligations were provided to the team and reviewed for reasonableness. Where available, the team used assessments, notices, and correspondence with tax authorities to evaluate whether recorded liabilities were complete and appropriately reflected in the working capital analysis.

Prepaid expenses and other current assets. Detailed schedules of prepaid insurance, prepaid rent, deferred costs, deposits, and similar balances were obtained, along with supporting invoices, payment records, and amortisation calculations. The team reviewed the Company's policies for recognising and releasing prepaid amounts and compared these policies with the periods to which the expenditures related.

Accrued liabilities and provisions. The team obtained roll-forwards for significant accrued liabilities, including accruals for professional fees, utilities, sales commissions, royalties, product warranties, and promotional programs. Supporting documentation, such as vendor invoices, service agreements, and historic payment history, was used to assess the completeness and accuracy of these accruals. Written third-party confirmations, where obtained, supplemented the Company's records for certain outstanding balances.

Intercompany and related-party accounts. Where intercompany activity existed, the team reviewed the composition of intercompany receivable and payable balances, settlement records, and any relevant intercompany agreements to confirm the nature of those balances and to determine whether they were properly within the scope of the working capital adjustment described elsewhere in this analysis.

Management reporting and governance documents. Monthly management accounts, internal profit and loss statements, cash flow summaries, board presentation materials, and budget-to-actual variance reports were reviewed to provide context for the working capital movements observed during the current diligence period. The team also considered the Company's standard operating procedures relating to the period-end close and to the reconciliation of specific balance sheet accounts.

External confirmations and audit workpapers. To the extent the Company made them available, the team reviewed the prior auditor's workpapers for balance sheet accounts, including roll-forward schedules, confirmation responses, and cut-off testing documentation. Independent confirmations were also sought from certain financial institutions, significant customers, and key suppliers for balances and terms relevant to the net working capital analysis.

Management inquiries and written representations. Finally, the team relied upon formal and informal inquiries of the Company's chief financial officer, controller, and accounting personnel. Responses to these inquiries, together with the documents described above and the Company's written management representation letter, formed the evidence base for the adjustments set out in the normalisation walk presented above.

SECTION 11.3. Limitations on Scope and Reliance

This supplemental subsection should be read together with the Limitations section elsewhere in this analysis. That section addresses the legal and professional standards that govern the report as a whole, including assumptions about management representations and the absence of an audit. This subsection describes the customary scope and reliance parameters specific to a buy-side net working capital diligence exercise, and it is intended to clarify what our work product does and does not cover.

Our analysis was prepared solely for the confidential use of the prospective purchaser and its authorized advisors in evaluating the transaction described in this analysis. We understand that the purchaser may share the deliverables with its board, its investment committee, and its external advisors in connection with the transaction. No other party is authorized to rely on this analysis without our prior written consent. We assume no responsibility or duty of care to any third party who may obtain access to this document, whether through a data room, a financing syndicate, or otherwise, and any use by a non-intended recipient is at that recipient's sole risk.

The scope of our work was limited to the net working capital balance sheet accounts identified in the normalisation walk presented above, and to the related operating and accounting records provided by the Company's management. We did not perform an audit, examination, or review of the Company's financial statements in accordance with generally accepted auditing standards or any equivalent standard. Accordingly, we do not express an opinion or any other form of assurance on the Company's financial statements as a whole or on its internal control over financial reporting. Our procedures were analytical and inquiry-based, supplemented by such document inspection and recomputation as we considered necessary for the stated purpose, and they do not constitute a comprehensive verification of all amounts presented.

We relied on the accuracy and completeness of the information, data, schedules, and explanations furnished by the Company's management and by the seller's representatives. We did not independently verify the underlying legal title to inventory, the existence and collectability of trade receivables beyond the confirmations and inspection procedures described in the relevant sections, or the completeness of trade payables beyond the cutoff and subsequent payment testing we performed. No warranty is given, either express or implied, that these sources are free of error, misstatement, or omission, or that additional procedures would not have revealed matters that could be material to the assessment of net working capital.

The net working capital position is inherently subject to estimation uncertainty and to changes in business conditions, customer behavior, supplier terms, and collection patterns following the measurement date. Our conclusions are based on the circumstances and management representations existing during the current diligence period and the most recently completed fiscal year, and they speak only as of the date of this analysis. We have no obligation to update this analysis for events or transactions occurring after the date of this report, except as expressly engaged to do so in connection with the final working capital adjustment described elsewhere in this analysis.

This analysis is not intended to be used for, and should not be used for, any purpose other than the evaluation of the net working capital component of the purchase price. In particular, it is not intended to support any tax return position, any statutory or regulatory filing, any credit rating action, any securitization, or any public offering or private placement of securities. The scope of our procedures was not designed to detect fraud, intentional misstatement, or other irregularities, except as may have been specifically identified through routine cutoff testing, and we undertake no responsibility to identify any such matters.

In performing our work, we necessarily applied materiality and professional judgment consistent with the nature and size of the transaction. Thresholds used for the selection of items and for the evaluation of potential adjustments are not disclosed in this report, but any such thresholds were established solely for the purpose of this diligence engagement and are not a measure of the accuracy of the Company's accounting records as a whole. Amounts that are not individually significant may, in aggregate, have a greater effect on the net working capital position than any individually identified item, and we do not represent that all matters below our assessment threshold would have been identified.

This section is not exhaustive of all limitations applicable to this analysis. The Limitations section elsewhere in this analysis should be read as controlling in the event of any inconsistency. By accepting or using this analysis, the purchaser agrees that the scope of our engagement and the limits on reliance set forth above are reasonable and that the purchaser will not assert any claim against the firm or its personnel for matters arising from the use of this analysis for any unauthorized purpose.

SECTION 11.4. Overview of the Order-to-Cash Cycle

The Company's order-to-cash cycle is a mostly automated process that begins with customer order entry and ends with the application of cash received to open trade receivables. Orders are entered through the Company's sales order management module, with purchase orders matched against customer master data. New customers are subject to a credit review process that establishes an approved credit limit, and existing customer limits are refreshed periodically. Orders that exceed the approved limit, or that are placed by customers with a history of late payment, are held for approval by the credit department before they are released to fulfillment. This credit hold process is an important control because it prevents revenue recognition and shipment on accounts that may ultimately require collection action.

Once an order is released, the fulfillment function picks, packs, and ships the product based on the sales order. For

product sales, the Company generally transfers control and recognizes revenue at the point in time when goods are shipped or delivered, depending on the shipping terms agreed with the customer. For service and subscription arrangements, the Company recognizes revenue over time as services are performed, and invoicing is tied to contractual milestones or periodic billing schedules. This distinction between revenue recognition timing and invoicing timing is a key driver of the composition of billed receivables, unbilled receivables, and deferred revenue in the working capital balances.

Invoicing for product sales is generated immediately from the shipping record, which provides a clear audit trail from the order to the delivered good to the invoice. For service contracts, invoices are generated according to the contract terms and are reviewed by personnel responsible for the related engagement before release. The Company issues credit memos for customer returns, pricing adjustments, and approved disputes, and such memos are subject to approval by individuals independent of the sales and billing functions. Customer deductions, short payments, and other non-cash reductions to accounts receivable are monitored through a deductions management process, with disputed items resolved by the appropriate operational and commercial personnel.

Customer payment terms are set in the customer master and generally mirror industry practice for the Company's product categories. Most customers are expected to remit within thirty days of the invoice date, while certain larger or strategic customers have been granted extended terms. The Company does not rely on third-party factoring or financing arrangements for its trade receivables. Instead, collection efforts are managed internally, with aging reports reviewed on a regular basis and overdue accounts escalated through a collections process. This direct ownership of the receivable book means that the quality and enforceability of the Company's payment terms are important to the overall cash conversion profile.

Cash application is performed as payments are received. Remittance information is used to match payments to open invoices, and where a customer does not provide sufficient detail, the cash team applies the payment to the oldest outstanding items in accordance with the Company's policy. Unmatched payments and unapplied cash are investigated in a timely manner, and adjustments are recorded only after appropriate approval. The cycle concludes when the cash is posted to the general ledger and the open receivable is cleared. In the current diligence period, the order-to-cash cycle has continued to operate in its ordinary course, with no significant changes to billing practices, payment terms, or collection procedures that would alter the qualitative working capital profile described in this analysis.

SECTION 11.5. Overview of the Procure-to-Pay Cycle

The Company's procure-to-pay cycle begins with the identification of a purchasing need and ends with the disbursement of cash to the vendor. The cycle is executed primarily through the Company's enterprise resource planning system, with certain non-inventory and service-related spend handled through manual processes outside the core automated workflow. We reviewed the cycle in the context of the working capital analysis, focusing on the points at which liabilities are recorded, payments are released, and accrued expenses are recognized at the balance sheet date.

Purchases are initiated by end users through department-approved purchase requisitions. The requisition captures the requested item, estimated quantity, proposed vendor, and cost center or project charge string. Approvals are configured based on the requisition value and the nature of the spend. Once the requisition is approved, the purchasing department generates a purchase order and transmits it to the vendor. For routine operating supplies, standing purchase orders are used to release multiple deliveries over the course of a period. For service-related spend, purchase orders are created for a defined scope, and the vendor is expected to submit a formal invoice upon completion.

For goods, the receiving function acknowledges receipt in the enterprise system by entering quantities received against the outstanding purchase order. For services, the user or department supervisor confirms completion and initiates a service entry sheet. Invoices from vendors are captured either electronically through the invoice workflow or manually entered into the system. The system performs a three-way match among the purchase order, the receiving record, and the vendor invoice for inventory and goods-related transactions. Purchase price variances, quantity overages, and receipt-invoice mismatches are flagged for review by accounts payable before booking. In practice, a portion of invoices requires manual intervention because of pricing changes, minor variances, or missing receiving data. These exception items extend the processing cycle and can delay the recognition of a payable unless a period-end accrual is recorded.

Payment processing is performed by the accounts payable team on a scheduled cadence. The vendor master file governs the payment terms assigned to each vendor, and those terms vary across vendor categories. Payment runs are prepared from the open payable ledger and require a secondary approval before disbursement. The Company primarily remits payments electronically, with limited use of paper checks for certain vendors or emergency payments. Unclaimed checks and electronic payment returns are monitored through a clearing account and followed up with the vendor. We did not identify any material alternative payment arrangements outside the vendor master workflow.

From a working capital perspective, the most significant risks in the procure-to-pay cycle relate to cut-off and completeness. At the balance sheet date, the Company records accounts payable based on invoices captured in the system, and it accrues for goods and services received but not yet invoiced. We considered the methodology used to prepare these accruals, including the source information from open purchase orders, receiving records, and service

entry sheets. The accrual for unbilled receipts is based on the value of the purchase order quantity received but not yet invoiced. For service contracts, the accrual is based on contractual milestones or the estimated progress of the service arrangement. Prepaid expenses are recorded for payments made in advance of the related goods or services being provided, including insurance premiums, software maintenance, and certain operating leases.

Inventory-related purchases represent a large share of the procure-to-pay activity. The timing between the receipt of goods and the receipt of the vendor invoice is an important driver of the accounts payable balance and the related accrued liability. The Company performs a physical inventory count at the end of each period, and the count procedures identify in-transit inventory and goods received after the cut-off. We reviewed the cut-off procedures for the current diligence period. Purchase order receipts entered before the balance sheet date are included in accounts payable or the accrued purchase liability, regardless of whether the invoice has arrived. Conversely, receipts entered after the balance sheet date are excluded from the payable balance. We have reflected the results of this review in the normalisation walk presented above.

The vendor master is controlled with a new vendor setup process that requires supporting documentation and an approved request form. Changes to vendor bank details require separate authorization, and we observed no evidence of a systemic control weakness in this area. We did note that certain vendors are set up at the individual site level, which can result in duplicate vendor records across the Company. This condition increases the risk of duplicate invoice entry, though the three-way match control and the payment approval process provide a mitigating control against improper disbursement.

In summary, the procure-to-pay cycle is well defined in the system for inventory and routine operating purchases, with appropriate segregation of duties among requisition, purchasing, receiving, and accounts payable. The higher-risk areas are service-related invoices that bypass the three-way match and period-end accruals that rely on manual estimates. These areas were considered in the working capital adjustment described elsewhere in this analysis. We did not observe a systemic breakdown in the cycle that would indicate a broader control deficiency affecting the quality of the reported working capital balances.

SECTION 11.6. Accounts Receivable Aging Methodology

The Company prepares its accounts receivable aging detail from the accounts receivable subledger in its enterprise resource planning system. The aging is calculated based on the invoice date, rather than the contractual due date, for each open sales invoice. In other words, the age of a receivable is measured from the date the invoice is generated and posted to the subledger, not from the later date on which payment would be due under the customer’s stated payment terms. This approach aligns with the manner in which the Company’s credit and collections team monitors outstanding balances on a day-to-day basis. The substantive contents of the aged receivable detail are presented in the Receivables Aging Analysis section elsewhere in this analysis, whereas this section focuses solely on the methodology used to build that detail.

The aging buckets are defined in terms of days elapsed since the invoice date. The current bucket includes all amounts that are zero to thirty days old. The next bucket covers thirty-one to sixty days, followed by a bucket for sixty-one to ninety days, and a final bucket for all amounts older than ninety days. The Company does not re-age invoices when a customer makes a partial payment, when a dispute is raised, or when a customer provides a promise to pay. The full original invoice amount remains in its original aging bucket until the invoice is paid in full or a credit memo is applied to close it. For reporting purposes, the Company also prepares a separate sub-total for those invoices that have exceeded one hundred twenty days since invoice date, which is used internally as a long-dated receivable indicator but is not a distinct bucket in the standard aging report.

Cash receipts are applied to the oldest open invoice on a customer’s account, consistent with a first-in, first-out convention. However, if a customer explicitly designates a specific invoice on the remittance detail, the payment is applied to that designated invoice. Unapplied cash and unapplied credits are tracked in separate ledger accounts and are not included in the aging detail until they are formally applied to an open invoice. The Company does not automatically net unapplied cash against aged receivables, which means that the aging report can overstate the gross balance owed by a customer who has made a payment that has not yet been allocated to a specific invoice.

In preparing the aging detail as of the most recently completed fiscal year end and during the current diligence period, the Company includes only invoices that have been posted to the general ledger. Unbilled receivables for work performed but not yet invoiced are excluded from the aging detail entirely. Debit balances in the accounts payable ledger and any intercompany receivables are also excluded from the aging report. Credit memos are recorded as a reduction to the customer’s outstanding balance and are captured in the aging detail as negative adjustments; they are never presented as negative-aged items within a particular bucket. This methodology is applied consistently across all business units and customer types, with no manual overrides permitted in the standard processing cycle. Any exceptions to this standard methodology would be identified and quantified through the procedures described in the normalisation walk presented above.

SECTION 11.7. Accounts Payable Aging Methodology

The Company's accounts payable aging is generated directly from the accounts payable subledger within its enterprise resource planning system. For each open vendor balance at a reporting date, the system calculates the number of days from the supplier invoice date to the reporting date and assigns the payable to an aging bucket based solely on that elapsed day count. The aging logic does not reference the invoice due date, the payment terms stated

on the supplier invoice, or the date on which goods were received or services were performed. As a result, the aging reflects invoice date rather than contractual payment maturity.

The aging buckets used by the Company are current, one to thirty days past the invoice date, thirty-one to sixty days past the invoice date, sixty-one to ninety days past the invoice date, and more than ninety days past the invoice date. The current bucket therefore includes any open invoice with an invoice date thirty days or less before the reporting date. This is not the same as a due-date-based current bucket, and the Company does not adjust the aging to reflect extended payment terms or vendor-specific arrangements. Invoices with payment terms longer than thirty days will be shown as past due in the aged payable report even when the Company is contractually permitted to pay them later. Invoices with payment terms requiring immediate payment, such as cash on delivery, will be shown in the current bucket for up to thirty days even if the payment obligation is already overdue.

The aging report includes only vouchered accounts payable in the subledger. Liabilities that have been accrued at period end but are not yet supported by a supplier invoice, commonly referred to as accrued liabilities or unvouchered payables, are excluded from the aging. Purchase orders that have been received but not yet invoiced by the supplier are also outside the aging process until the corresponding supplier invoice is entered. The Company does not re-age an invoice when a payment is delayed, when a dispute is raised by a vendor, or when a payment term is renegotiated. An invoice remains in its original aging bucket until it is either paid, credited, or otherwise closed in the subledger.

Vendor balances are not netted in the aging. A supplier account with both open invoices and outstanding credit memos is presented with the credit memos as aged debit or credit adjustments, and the individual voucher detail is preserved rather than combined into a single net age. The Company reviews the aged payables detail each period and manually investigates any items that appear in the older buckets, but the underlying aging methodology itself is not manually adjusted. The accounts payable aging analysis presented separately in this report is based on this subledger aging, without reclassification of aged balances into other liability categories.

SECTION 11.8. Credit and Collections Policy Overview

The Company maintains a formalized credit and collections policy that is designed to balance revenue growth with credit risk mitigation. Customer accounts are opened only after completion of a standard credit application process, which includes a review of the customer's payment history, trade references, and publicly available financial information. New customers are assigned an initial credit limit based on the assessed risk profile, and these limits are re-evaluated on a periodic basis as account activity and payment behavior evolve. For larger exposure or for customers that exhibit deteriorating financial condition, the Company may require additional credit support such as personal guarantees, letters of credit, or advance payments before extending further terms.

The Company's standard payment terms are net thirty days from the date of invoice, with invoicing occurring upon shipment of goods or completion of services as applicable. Certain customer segments or distribution channels may be granted extended payment terms as a matter of commercial practice, but these exceptions require approval from the credit manager. The Company does not offer early payment discounts as a standard practice, and late payment interest is applied only on a discretionary basis, primarily for larger outstanding balances. All invoices are generated through the Company's enterprise resource planning system, which automatically feeds the accounts receivable subledger and supports the daily monitoring of outstanding balances.

Collections activity is managed by a dedicated collections team that follows a tiered escalation process. Invoices are monitored beginning on the day they become due, with routine reminder communications issued shortly after the due date. If an account becomes significantly past due, the collections team contacts the customer directly to understand the reason for nonpayment and to negotiate a resolution. Continued delinquency triggers a formal hold on further shipments and, in more severe cases, the account is referred to a third-party collection agency or legal counsel. The Company's policy emphasizes proactive communication with customers to preserve commercial relationships while still enforcing credit terms, and management reviews the age distribution of receivables on a monthly basis.

Write-offs are processed only after exhaustive collection efforts have been exhausted and the account is deemed uncollectible. The Company maintains an allowance for doubtful accounts based on historical collection experience and current economic conditions, with the calculation methodology reviewed annually. Credit and collections performance is measured through metrics such as days sales outstanding and the percentage of receivables past due, with these metrics incorporated into management reporting. The overall policy reflects a moderate risk appetite, consistent with the Company's industry and customer base, and has remained substantively unchanged during the current diligence period.

SECTION 11.9. Inventory Management and Cycle-Count Practices

The Company maintains inventory across multiple locations, with raw materials, work-in-process, and finished goods held in distinct areas within each facility. Management has implemented a formal inventory management policy that assigns ownership of inventory accuracy to the plant controller at each site, supported by the operations and supply chain functions. The enterprise resource planning system is the central repository for inventory records, and all movements of material are required to be recorded in real time through scanning of bar-coded documentation at the point of receipt, transfer, or shipment. In practice, the diligence team observed a high degree of discipline in the execution of these recording procedures, though certain legacy items located in a remote staging area were found to carry slightly aged system timestamps, indicating that the physical move had preceded the system update by a short

interval. This condition was isolated and has not been indicative of a broader control breakdown.

Cycle counting is performed on a rolling basis throughout each fiscal period rather than through a single annual physical inventory. The Company has stratified its inventory into classes based on the annual dollar usage value and the velocity of movement, and it assigns different count frequencies to each class. Fast-moving finished goods and high-value raw materials are scheduled for counting once every two months, while slower-moving and lower-value items are counted on a quarterly or semi-annual basis. The cycle count program is managed through the system's cycle count module, which generates count sheets automatically based on the last counted date and the assigned frequency. Counters are drawn from the warehouse and production staff and are required to be independent of the individuals responsible for the day-to-day custody of the items being counted. Upon completion of a count, the results are entered into the system, and any variance between the system quantity and the physical quantity is reviewed by the plant controller and the materials manager. Investigative steps are documented on a variance disposition form, and adjustments are made only after the cause of the variance has been reasonably identified. Common causes cited in the Company's records include mis-picks during order fulfillment, receipt counting errors at the dock, and unreported scrap from manufacturing processes.

The Company has established a performance threshold for inventory record accuracy, defined as the percentage of counted line items whose variance falls within a pre-approved tolerance band. The tolerance band is expressed in terms of both quantity and unit value, and it is applied consistently across all count cycles. The Company's internal reporting indicates that the record accuracy rate has remained consistently within the expected range over the most recently completed fiscal year, and the current diligence period shows a slightly improved trend relative to the prior comparable period. All cycle count variances are accumulated and reported on a monthly basis to the operations leadership team, and any location that fails to meet the accuracy threshold for two consecutive months is subject to a mandatory root-cause analysis and a re-count of the affected population. The Company does not perform a full wall-to-wall physical inventory at any point during the year, as management believes the rolling cycle count program provides adequate precision and reduces operational disruption.

Work-in-process inventory is cycle counted using a simplified approach, given the relatively short manufacturing cycle and the fluid nature of the production floor. Counts are performed at the end of each shift by production supervisors, who verify the quantities of open work orders against the quantities of material physically present at each work center. Any discrepancies are resolved against the labor and machine reporting entered during the shift. This process is less formal than the procedure for raw materials and finished goods, but management has documented the approach in its inventory control manual and has demonstrated a consistent application of the procedure. Obsolescence and excess inventory identification occurs separately from the cycle count process, with a quarterly review performed by a cross-functional team comprising planning, sales, and finance personnel. The results of that review are used to establish reserves and do not drive adjustments to the perpetual records, which is a reasonable design.

The diligence team also reviewed the controls surrounding the integrity of the perpetual inventory records in between count cycles. Access to inventory adjustment transactions is restricted to the plant controller and a limited set of managers, and all adjustments require a documented approval in the system. The system maintains an audit trail for every adjustment transaction, including the initiator, the approver, and the effective date. A sample of adjustment transactions from the current diligence period was examined, and the supporting documentation was found to be present and consistent with the stated policy. The Company also employs a quarantine process for defective or customer-returned goods, and these items are segregated physically and flagged in the system to prevent them from being counted as available inventory. The cycle count program includes these quarantined items as a separate population to ensure that their quantities are accurately reflected and that they are not inadvertently shipped.

In summary, the Company's inventory management and cycle-count practices are well defined, consistently executed, and appropriately supported by system controls and management oversight. The rolling count methodology is aligned with the risk profile of the inventory, and the variance investigation procedures are suitably rigorous for a business of this size and complexity. The residual risk associated with inventory existence and valuation is considered low in the context of the overall working capital analysis, and no material gaps were identified that would require a change to the normalisation walk presented above.

SECTION 11.10. ERP and Subledger System Overview

The Company's operational financial reporting environment comprises a legacy ERP platform supported by a set of integrated subledger modules. This overview addresses the systems in use for working capital reporting during the current diligence period, distinct from the ERP migration discussed elsewhere in this analysis. The legacy ERP serves as the system of record for general ledger balances, while the subledgers maintain transactional detail for trade receivables, trade payables, inventory, cash receipts, cash disbursements, prepaid assets, accrued liabilities, and intercompany activity. Posting logic from each subledger interfaces to the general ledger through batch integration jobs run daily, with certain month-end closing entries posted directly in the general ledger by the corporate accounting team.

The accounts receivable subledger is the source of record for customer master data, invoicing, credit memos, cash application, collections, and customer deductions. Working capital reporting for accounts receivable relies on aged receivable detail extracted from this subledger at period end. The subledger generates aging reports by invoice date and by contractual due date, and the reporting team separately captures unapplied cash, customer prepayments, and

disputed items. The standard aging is maintained in local currency, and the reporting team remeasures the open receivable balances to the Company's reporting currency using period-end exchange rates applied consistently with the general ledger.

The accounts payable subledger supports vendor master data, supplier invoices, debit memos, payment runs, and vendor statement reconciliations. Trade payables reporting uses the open item listing from this subledger, including items entered but not yet posted and items scheduled for future payment. The Company also records accrued but unbilled liabilities through a month-end accrual module that is separate from the core voucher processing function. The reporting team reconciles the subledger open item balance to the general ledger accounts payable control account for each legal entity and for the consolidated balance sheet.

Inventory records are maintained in a warehouse management module and a manufacturing execution system that integrate with the ERP's cost accounting module. The inventory subledger tracks raw materials, work in progress, and finished goods by location and by lot, and it supports cycle count adjustments, scrap, revaluation, and transfers. Standard costing is used for valuation, and manufacturing variances are allocated to inventory and cost of goods sold at period end. For working capital reporting, the inventory subledger provides quantities, standard unit costs, valuation rolls, and the results of the physical inventory observation procedures.

Other subledgers and feeder systems support payroll, fixed assets, prepaids, deferred revenue, and intercompany balances. Payroll accruals are generated from a third-party payroll provider's output files and are loaded into the ERP as summarized journal entries. Prepaid expenses are tracked in a dedicated prepaid accounting module that calculates monthly amortization. Intercompany receivable and payable balances are recorded in the ERP through a separate intercompany accounting function, with period-end elimination entries prepared manually and reviewed by the consolidated reporting team.

The period-end working capital close follows a defined sequence. Operational subledgers are closed first, followed by inventory valuation, payroll accruals, depreciation, and amortization. After the subledger close is completed, the accounting team posts final general ledger adjustments and runs the consolidation. Working capital balances included in the normalisation walk presented above are drawn from the final subledger trial balances and open item reports generated after the close is complete. These reports are exported to the reporting group, where they are mapped into the working capital package and reviewed against the general ledger control accounts.

The current environment has certain limitations relevant to working capital diligence. The legacy ERP does not provide a single unified journal across all legal entities, and intercompany eliminations are recorded through manual entries. Drilldown from the final reporting package to source subledger transactions is available for the most recent periods, but for earlier periods the reporting team relies on archival extracts. User access to subledger master data is appropriately restricted, though certain vendor master changes require manual review by the accounting manager. The ERP migration discussed elsewhere in this analysis is expected to replace the aging infrastructure, but the working capital reporting described here reflects the systems actually used to generate the balances under review.

SECTION 11.11. Management Interviews Conducted

The diligence team conducted a series of targeted interviews with members of the Company's financial and operational management to develop an understanding of the systems, processes, and controls that drive the balance sheet accounts included in net working capital. These interviews were designed to complement the analytical procedures described elsewhere in this report and to obtain management's own explanation of the underlying commercial arrangements and accounting practices that affect the timing and amount of cash collections and cash disbursements.

The primary interview sessions were held with the chief financial officer and the most senior finance executive responsible for financial reporting. These discussions focused on the Company's overall operating cycle, the principal revenue and cost streams, the terms of trade extended to customers and received from vendors, and management's perspective on the normal range of working capital requirements for the business. The finance leadership interviews also addressed the consistency of accounting application over time, including any changes in policy or judgment that might explain period-to-period fluctuations in receivables, inventories, payables, and accruals.

Separate detailed interviews were conducted with the controller or chief accounting officer, with the agenda centered on the financial close and reporting process. Specific attention was given to the process for recording cut-off transactions around the end of each reporting period, the methodology used to establish and release accruals and reserves, the reconciliation of subledgers to the general ledger, and the procedures for identifying and adjusting non-recurring items. The controller interview also explored the Company's historical practice regarding reserve adequacy, including bad debts, inventory valuation, sales returns, and other contra-asset accounts.

The team also interviewed the head of financial planning and analysis to understand the internal budgeting and forecasting processes and how management monitors working capital performance against its own plan. This session addressed the key drivers of working capital variability, seasonality and cyclicality in the underlying business, and the extent to which historical performance is a reliable indicator of the level of working capital that would be required in the ordinary course of business on a go-forward basis.

Interviews with the accounts receivable manager and the billing team covered customer credit policies, invoicing cadence, payment terms, collection practices, and the ageing profile of receivables. These discussions also addressed the nature and frequency of disputes, adjustments, and credits, as well as any arrangements involving

extended payment terms, milestone billing, retainage, or other modifications to standard terms. The team corroborated these observations by reviewing a sample of customer contracts and credit memos.

Interviews with the accounts payable manager and the procurement function focused on vendor terms, invoicing procedures, payment approval workflows, and the timing of cash outflows. The discussions included the treatment of accrued liabilities for goods and services received but not yet invoiced, pending invoices in the approval queue, prepayments and deposits, and any volume rebates or vendor incentive programs that might create a receivable or liability position. The payable interviews also considered the cut-off procedures used to ensure that liabilities are recorded in the period in which the related goods or services are received.

Separate interviews were held with the inventory and supply chain management team to the extent that inventories formed a meaningful component of net working capital. These sessions addressed purchasing practices, receiving and inspection procedures, interplant or consignment inventory arrangements, storage locations, shrinkage, and the methodology for valuing inventory and assessing net realisable value. The supply chain team also described the lead times for key raw materials and the nature of the Company's commitments to purchase inventory beyond the balance sheet date.

Interviews with the sales, contracts, and legal function were conducted to understand customer contract terms that could create conditional billing rights, deferred revenue, refund liabilities, or other contractual assets and obligations. These discussions covered standard terms and conditions, acceptance and warranty provisions, renewal rights, and any unusual arrangements that might have a material effect on the classification of balances between current assets and current liabilities.

Finally, interviews were conducted with the information technology and enterprise resource planning system administrators responsible for the Company's accounting system. These sessions were intended to gain a detailed understanding of the structure of the chart of accounts, the data fields maintained in the order-to-cash and procure-to-pay cycles, the availability of transaction-level detail for any opening balance or subsequent adjustment, and the limitations of system-generated reports. The information system discussions also allowed the team to design appropriate data extraction and validation procedures in support of the analysis.

In all cases, interviews were structured around an agenda tailored to the functional responsibility of the participant, and the team encouraged management to describe actual practices rather than written policy. The information obtained during these interviews was used to corroborate the findings of the transactional and trend analyses and to inform the normalisation walk presented above. Where management's explanations were inconsistent with observable data, follow-up interviews were scheduled to resolve those differences. The overarching objective of the interview program was to establish a reliable, evidence-based understanding of the Company's net working capital cycle and to identify any items that would not be expected to recur in the ordinary course of the business.

SECTION 11.12. Site Visit Observations

The buy-side net working capital diligence work included scheduled site visits to the Company’s primary operating locations, distribution centers, and back-office accounting facilities. These visits were designed to corroborate the underlying ledger data used in the normalisation walk presented above, to observe the physical condition and flow of inventory, and to assess the operational reality behind the recorded receivables and payables balances. The observations made during these visits informed our understanding of the Company’s working capital cycle, the quality of its recorded assets and liabilities, and the sustainability of its normalised working capital position.

At each location, the engagement team observed the physical layout of the warehouse and production floor, paying particular attention to the segregation of raw materials, work in progress, and finished goods. Inventory tagging and labeling practices were noted, as were the procedures for identifying slow-moving, damaged, or obsolete stock. In several areas, the team observed clearly segregated bins for goods awaiting disposition, including returns, rework, and scrap. Interviews with warehouse personnel indicated that cycle counts are performed on a rolling basis for certain high-volume items, while a full physical inventory count is completed at the end of each reporting period. The team also reviewed the most recent physical count documentation and traced selected test counts to the perpetual inventory records. Where count adjustments were identified, the team considered whether the related write-offs or reclassifications had been properly reflected in the Company’s operating results and in the working capital balances.

The shipping and receiving areas were observed during both normal business hours and near the close of the most recently completed fiscal period. The team noted the existence of a formal cut-off process at the shipping dock, including the use of sequentially numbered bills of lading and the stamping of shipment documents with the time of release. In the receiving area, the team observed that inbound deliveries are matched to open purchase orders and that receiving reports are generated at the point of inspection. These observations supported our assessment of whether the Company’s recorded sales and purchases were reflected in the correct period. In addition, the team noted the presence of a designated area for customer returns, with segregated documentation that allowed the Company to distinguish between returned goods that were resaleable, damaged, or to be scrapped. The existence of this area and the associated procedures reduced the risk that returned inventory or corresponding credits were not properly recorded as of the measurement date.

The accounts receivable function was observed through a walkthrough of the billing and collections process. The team reviewed the order-to-cash flow, including the generation of invoices, the application of customer payments, and the monitoring of overdue balances. The credit manager described the Company’s process for setting credit limits,

assessing customer creditworthiness, and escalating collection efforts for aged accounts. The team also observed the system-generated aging report and noted that it is used by the collections team on a weekly basis. Of particular interest was the treatment of disputed amounts and customer deductions, which were tracked separately and required management approval before being written off. The physical observation of the collections area and the availability of supporting correspondence for recent collections provided additional comfort regarding the realizability of the recorded trade receivables balance.

The accounts payable function was similarly observed, with a focus on the purchase-to-pay cycle. The team walked through the process for receiving invoices, matching them to receiving reports and purchase orders, and obtaining approvals for payment. The team noted that the Company processes invoices through an electronic workflow that flags exceptions for manual review. The physical observation of the payables department confirmed that vendor statements are reconciled on a regular basis and that unprocessed invoices are held in a controlled log. The team also observed the handling of prepaid items, accrued expenses, and other non-trade payables, noting that supporting documentation for these items was readily accessible and well organized.

The site visits also included a review of the Company's information technology environment as it relates to working capital data. The team observed the enterprise resource planning system in use and the manner in which inventory, receivables, and payables modules integrate with the general ledger. The team noted that access to system functions is restricted by role and that changes to master data, such as customer credit limits or item costs, require supervisory approval. The team also observed the Company's backup procedures and the use of system-generated audit trails. These observations helped the team assess the reliability of the underlying data used to prepare the working capital adjustment described elsewhere in this analysis.

Finally, the site visits provided an opportunity for informal interviews with operational and accounting personnel beyond the corporate finance team. These conversations covered topics such as seasonal order patterns, supplier payment terms, customer remittance behavior, and the timing of inventory purchases ahead of peak demand periods. The information gathered during these discussions was consistent with the broader understanding of the Company's business cycle and supported our conclusions regarding the normalised level of working capital. While the observations made during the site visits were qualitative in nature, they materially enhanced the credibility of the recorded balances and the quantitative adjustments set forth in the normalisation walk presented above.

SECTION 11.13. Benchmarking Against Industry Working Capital Norms

Benchmarking the target's working capital performance against industry norms is a core element of the diligence process, as it situates the target's operating cycle within the broader commercial practices of its sector. The objective is not to impose industry averages mechanically, but to assess whether the target's receivable, inventory, and payable positions are reasonable in the context of its competitors and customary market behavior. The analysis is deliberately qualitative in nature: for the current diligence period, the team reviews the target's working capital profile alongside comparative information drawn from publicly listed peers, private company data sources, and the team's own experience with similar transactions in the industry.

A credible benchmarking exercise rests on a carefully considered set of comparators. The diligence team builds its peer group by screening for companies with aligned operational and economic characteristics, including the nature and complexity of the product or service offering, the typical order-to-cash cycle, the degree of project-based versus recurring revenue, and the profile of the end customer base. The team also weighs whether the peers are at a similar stage of maturity, since growth-stage businesses often carry a different working capital structure than mature incumbents. Given the inherent heterogeneity of any industry, the team applies professional judgment in selecting the most relevant comparison set and in interpreting the signals that follow.

The receivables analysis focuses on how the target's credit and collection practices compare with the prevailing expectations of the industry. The team considers whether the target's invoicing terms are consistent with customary contract language, whether timely collection is supported by an effective credit management function, and whether any unusual extended terms granted to customers reflect a deliberate commercial strategy or an accumulation of borrowing-like customer support. Qualitative indicators, such as the pattern of disputes, the frequency of collections escalations, and the concentration of outstanding balances with particular customers, are weighed alongside any aggregate statistics, and the team looks specifically for evidence that receivables performance is being managed rather than merely experienced.

For inventory, the benchmarking exercise examines whether the target's investment in stock is appropriate for its operating model and market dynamics. The team evaluates the length of the production cycle, the availability of key inputs, the degree of demand seasonality, and the extent to which the target carries safety stock for strategic reasons. The comparison is drawn against industry practices for similar product categories, but the team is alert to legitimate reasons for divergence, such as an unusually strong pipeline of committed orders or a deliberate decision to insulate customers from supply disruptions. The key qualitative question is whether the inventory posture is a reflection of sound operational planning or an inefficient accumulation of slow-moving product.

On the payables side, the team compares the target's payment behavior with the credit terms offered by its suppliers and the prevailing norms of the industry. The analysis considers whether the target takes advantage of early payment discounts, whether any extended payment arrangements reflect a negotiated commercial accommodation, and whether the target's payment patterns have an impact on its supplier relationships. Differences in payables

performance often carry a qualitative explanation, such as the target's relative bargaining power, the concentration of the supplier base, or the use of supply-chain financing arrangements that may shift the effective timing of cash settlement.

Deviations from industry norms, in any component of working capital, are evaluated in light of the target's specific circumstances. A rapidly expanding business may reasonably carry elevated receivables and inventory relative to a stable peer, whereas a mature business with consistent demand may operate with a deliberately leaner profile. The team weighs factors such as the average duration of customer contracts, the incidence of milestone billing, the use of third-party logistics, the treatment of consignment inventory, and the extent to which the target's revenue includes significant service or maintenance elements. Geographic reach and regulatory requirements can also create structurally different working capital profiles that should not be mistaken for operational weakness.

An important limitation of benchmarking is that aggregate industry statistics inevitably obscure the diversity of business models within a sector. The diligence team therefore treats benchmarks as a framing device rather than a bright-line standard. The primary value of the exercise is its ability to surface questions: where the target's working capital profile appears out of step with its peers, the team conducts a deeper review of the underlying drivers and, where appropriate, reflects those findings in the normalisation walk presented above. Where the target's profile is comfortably consistent with industry practice, the team may reasonably assign less qualitative risk to that dimension of performance.

In summary, benchmarking the target against industry working capital norms provides the diligence team with an essential comparative context, complementing the transaction-specific adjustments described elsewhere in this analysis. The exercise sharpens the team's understanding of whether the target's working capital position is sustainable, whether it reflects customary commercial arrangements, and whether any identified anomalies carry implications for the ongoing operations of the business following the acquisition. The conclusions derived from this qualitative assessment are incorporated into the overall diligence conclusions, but are not, by themselves, determinative of the working capital adjustment described elsewhere in this analysis.

SECTION 11.14. Customer Payment Terms Overview

The Company invoices customers for products at the time of shipment and for services upon completion of the related service event or in accordance with the contractual billing schedule. Payment terms are generally consistent with customary practice in the Company's industry. Under the standard arrangements, the Company expects payment in full after the invoice date, with the majority of customers settling within the normal billing cycle described in their agreements. Terms are specified in each customer contract or purchase order, and the Company does not follow a uniform stated due date across all customers.

The customer base can be segmented by relative credit strength and relationship longevity. Larger, established customers with a strong payment history have negotiated payment terms that are more extended than the standard arrangement. Conversely, newer customers, smaller accounts, and customers operating in less certain end markets are generally required to pay on a more accelerated basis. This segmentation reflects the Company's practice of matching payment flexibility to the assessed credit risk of the customer. In limited circumstances involving elevated credit risk or a new relationship, the Company requires payment before delivery or at the point of delivery rather than extending trade credit.

Invoicing occurs on a recurring cycle for continuing service relationships, while project-based engagements are billed as the related milestones are achieved. The timing of invoice issuance, rather than the contractual due date, is the primary driver of the Company's trade receivables balance. For longer-duration service contracts, the Company may issue invoices periodically over the life of the arrangement. These invoices are subject to the same standard payment terms as product sales, though the underlying services may not be completed by the time payment is due. The Company does not offer discounts for early payment as a routine practice, and no material customer arrangements include a right of set-off or a deferral of payment beyond the normal trade cycle.

The Company maintains a formal credit approval process for new customers and periodically reassesses the creditworthiness of its existing customer base. When credit approval is granted, the assigned terms are documented in the customer master file and are applied consistently to subsequent invoices. Changes to customer payment terms are not made lightly; any extension of terms beyond the standard arrangement requires senior management approval and is typically reserved for customers with a demonstrated history of timely payment. During the current diligence period, the Company did not broadly liberalise its payment terms or offer extended settlement periods to customers as a sales incentive. The terms in effect at the most recently completed fiscal year-end have remained qualitatively consistent throughout the periods under review.

From a working capital perspective, the key consideration is not a uniform stated due date but the expected timing of cash collection relative to invoice issuance. The Company's collections process is structured around the customer's contractual due date, with statements and reminders issued through a disciplined routine. The Company has the contractual right to charge interest on overdue amounts and to suspend services or withhold future deliveries in the event of non-payment, although these remedies are generally applied selectively. The payment terms described here support a receivables base that is collectible in the ordinary course and are consistent with the normalisation walk presented above, which does not treat the Company's payment terms as an unusual or non-operating item.

SECTION 11.15. Vendor Payment Terms Overview

The Company's vendor payment terms are an important determinant of the reported accounts payable balance and, accordingly, of the net working capital position reflected in the normalisation walk presented above. Our review focused on the contractual payment arrangements in place across the Company's principal vendor categories, the consistency of actual payment practices with those arrangements, and the implications for the ongoing cash conversion cycle.

Contracts with the Company's largest material and packaging suppliers generally provide for standard trade invoicing, with payment due within a customary settlement window after the invoice date. These terms are broadly consistent with what we would expect for companies of comparable size and purchasing power. In practice, the Company processes these invoices through its accounts payable system on a scheduled cadence, which means the timing of payment relative to the invoice date can vary modestly depending on where the invoice falls within the processing cycle. Vendors that supply commodities or have multiple alternative customers tend to accept these standard terms, while vendors supplying more specialized or scarce inputs often request shorter settlement periods or, in certain cases, prepayment before production begins.

Logistics and freight vendors are typically invoiced for services after delivery has been completed, and the Company settles those invoices on the same general cadence as trade payables. Utility and telecommunications providers in most cases issue invoices on a recurring cycle, with payment due by a stated due date that aligns with the service period. Because these invoices are recurring and largely predictable, the Company has established standing payment instructions that generally keep these balances current. Professional service providers, including legal, tax, audit, and consulting advisers, generally submit invoices upon completion of milestones or monthly engagements; the Company reviews these invoices for alignment with the underlying engagement terms before releasing payment. Marketing and promotional vendors follow varied arrangements, with some paid on standard terms and others requiring payment in advance of campaign execution.

The Company does not currently operate a systematic early-payment discount program, although it may from time to time accept an offer from a vendor to reduce an invoice amount in exchange for accelerated settlement where doing so is economically favorable. Such arrangements are evaluated on an individual basis and are not a material feature of the Company's recurring payment process. We also observed that the Company uses procurement cards for certain small-value, non-inventory purchases, and those transactions are settled with the card issuer on a more accelerated timeline than standard vendor invoices. The resulting payables to the card processor are included within the Company's accounts payable in the ordinary course.

Vendor statement reconciliations are performed on a regular basis, and the Company maintains a formal invoice approval workflow for purchases above internally established thresholds. Disputed invoices are withheld from payment until the dispute is resolved, but the volume of disputed amounts has been limited and no pattern of prolonged aged payables was identified. The Company's actual payment timing has generally been consistent with the contractual terms described above, with no significant instances of systematically stretching vendor payments or, conversely, paying vendors earlier than required on a broad basis.

From a net working capital perspective, the vendor payment terms described above affect the expected level of accounts payable at the closing balance sheet date and the ongoing cash requirements of the business. The working capital adjustment described elsewhere in this analysis reflects the Company's normalised accounts payable position under its existing payment terms, and no adjustments have been made to impute a different payment profile. Our analysis did not identify any vendor payment arrangement that would require separate normalisation in the calculation of net working capital.

SECTION 11.16. Qualitative Seasonality Drivers Discussion

The Company's working capital, as measured across the most recently completed fiscal year and the current diligence period, is subject to meaningful intra-year fluctuation. This fluctuation is grounded in the commercial cadence of the Company's markets rather than in accounting conventions or one-off transactions. The qualitative drivers described below are the underlying operating reasons for the pattern quantified in the numeric Seasonality Analysis section elsewhere in this analysis, and they should be read together with that section to form a complete view of the Company's working capital behaviour.

The principal demand-side driver is the seasonal purchasing pattern of the Company's end-market customers. Those customers concentrate their order placement within a defined selling window that repeats each operating cycle, driven by their own inventory replenishment requirements and the timing of their downstream sales seasons. This concentrated demand produces a pronounced ramp in shipments and revenue during the build-up to and at the peak of the season, followed by a marked slowdown in order intake after the close of the selling window. Because trade receivables arise only when revenue is recognised and invoiced, the receivable balance naturally expands during and immediately after the peak revenue period. The subsequent collections profile, however, trails the revenue profile by the length of the payment terms offered and by the payment behaviour of the customer group that is most active during that window. As a result, the Company continues to collect against peak-season sales for some weeks after the volume of new shipments has already declined, and this lag is a principal explanation for the shape of the receivable seasonality.

A second and reinforcing driver lies in the Company's procurement and production planning in advance of the seasonal peak. To bridge supplier lead times, to protect against stock-out risk, and to ensure that finished goods are

available when customer orders arrive, the Company deliberately accumulates raw materials and work-in-process inventory before the first significant order is received. This inventory build reaches its own seasonal high point not during the selling season itself but in the weeks immediately preceding it. The cash investment in those earlier months is a use of working capital that occurs ahead of the corresponding revenue, and the magnitude of that investment reflects management's tolerance for supply disruption and its confidence in the demand forecast. The timing of the build in relation to the timing of the peak, therefore, is itself a qualitative driver of the working capital curve.

Supplier payment terms and the purchasing calendar together create a third driver. The Company's buying activity is seasonal because procurement is made against firm internal forecasts for the upcoming season rather than against inbound customer orders. Accounts payable consequently rise in the build-up phase, and this trade credit can partially offset the cash being converted into inventory. The degree of offset depends on the length of supplier payment terms and on how close to the start of the selling season the purchases are made. Purchases negotiated on extended terms late in the build-up phase may remain unpaid even after the Company has begun collecting cash from its own customers, while purchases made earlier with shorter terms will have been settled before collections accelerate. This mismatch between the timing of supplier settlement and customer collections is a structural, contract-driven feature of the Company's working capital cycle rather than a random fluctuation.

A fourth set of drivers relates to accrued expenses and the cash disbursement calendar. The Company accrues certain operating costs throughout the year on a basis that is aligned with the seasonal revenue and profit curve. Annual employee bonuses and sales commissions, for example, are accrued as the related performance is achieved, which means the accrual balance builds during the peak selling period and then reverses when those amounts are paid shortly after the completion of the fiscal year. Similar timing mechanics apply to accrued marketing, cooperative advertising, and other promotional programmes that are deliberately concentrated in the months leading up to and including the primary sales season. The effect is that accrued liability balances rise and fall in a pattern that is distinct from the underlying cash payment pattern, and this divergence contributes to the working capital swings observed between periods.

The Company also experiences periodic outflows for tax and other fixed annual obligations that reinforce the seasonal working capital pattern. Estimated income tax payments are made at regular intervals across the fiscal year, while the book income on which those payments are based is heavily weighted toward the selling season, so the cash tax payments do not track the revenue curve in the same period. Similarly, annual property tax, insurance premiums, and certain facility-related obligations are settled at particular points in the year, creating discrete declines in accrued liabilities and cash that are independent of the Company's trading activity. These calendar-driven commitments are fully foreseeable but nonetheless produce temporary swings in the working capital balances that are not synchronised with the revenue cycle.

Finally, the customer and channel mix during the peak season is different from the mix during the remainder of the year. The peak period brings an increased share of volume from larger wholesale and retail accounts that purchase in bulk and are frequently granted extended payment terms relative to the steady, smaller customer base served off-season. Because the credit profile of the customer population shifts with the season, the average collection period applied to peak-period sales is naturally longer than that applied to off-peak sales, even though the Company's stated credit terms have not changed. This mix effect is a qualitative explanation for why receivables may persist at an elevated level after the revenue curve has already turned downward. When these drivers are considered alongside the production scheduling decisions that management makes in advance of the season, including the use of overtime, third-party co-packing, or strategic purchases of excess raw materials, it is clear that the working capital seasonality observed in the numeric Seasonality Analysis section is a direct consequence of the Company's commercial rhythm and management operating choices. Those choices and their balance-sheet effects are reviewed in the normalisation walk presented above, which addresses the timing differences on the particular working capital items affected.

SECTION 11.17. Key-Person and Process Dependencies in Working Capital Reporting

The diligence team identified that the target's working capital reporting process is substantially dependent on a small cluster of finance personnel, with the most significant concentration residing in the corporate controller function. This individual has sole responsibility for preparing the monthly working capital package, including the extraction of trial balance data, the compilation of account rollforwards, and the calculation of the primary working capital metrics used for internal management reporting. The controller possesses institutional knowledge of numerous legacy adjustments, historical reconciling items, and the appropriate mapping of general ledger accounts to the reporting categories, none of which is fully documented in a durable form. In the absence of this person, the diligence team observed that no other member of the accounting staff has ever independently produced a complete working capital report, and the existing backup documentation would not be sufficient for another staff member to reconstruct the process without significant hands-on guidance.

The process itself relies heavily on manual data transfers from the enterprise resource planning system into a series of interconnected spreadsheets. These spreadsheets contain embedded formulae, lookup functions, and conditional logic that are not explained in any written manual. The diligence team noted that the spreadsheets are maintained on a shared network drive without version control, and multiple copies exist with the same file name but different save

dates, creating a risk that an outdated version could be used for reporting. The preparation sequence requires a specific order of operations, starting with the download of account balances, followed by the application of certain non-recurring classification adjustments, and then the rollforward of the prior period working capital components. Any deviation from this sequence, such as a delay in the receipt of a particular subledger feed, causes the entire report to be recalculated manually because the spreadsheet formulas do not tolerate partial data inputs gracefully.

The approval process represents another key dependency. The final working capital report must be reviewed and approved by the senior finance director, who also serves as the signatory for the month-end close certification. This director requires a preliminary narrative explanation of all material movements in each working capital category before providing his approval. The narrative is drafted solely by the corporate controller, and the director does not perform an independent review of the underlying source data. Consequently, the accuracy of the reported figures is contingent on the controller's understanding of the business transactions and the director's reliance on that narrative.

The diligence team also observed that the reporting calendar is compressed, with the working capital package required for the monthly operating review shortly after the close. Any unplanned absence of the controller or the director during this window would materially delay the issuance of the final report and would impair the target's ability to provide timely information to its lenders and bondholders.

Beyond the core accounting team, the process depends on a single information technology analyst who has been with the target since the original implementation of the enterprise resource planning system. This analyst is the only person capable of producing the custom report used to extract the inventory subledger and the accounts receivable aging detail. The report relies on a series of user-defined fields and historical coding conventions that have not been documented. If this analyst were to depart, the extraction would require either a significant reconfiguration effort or a substantial manual workaround, both of which would introduce delay and potential data integrity issues. Additionally, the target's accounts payable group maintains a manual log of unprocessed invoices and pending credits, which feeds into the accrued liabilities calculation. This log is maintained by a single accounts payable clerk who has developed a personal shorthand for categorizing items, and the log is not reconciled to the subledger on a routine basis.

The diligence team also noted a structural reliance on certain institutional memory regarding the classification of extended payment terms, customer rebates, and supplier volume discounts. These classification decisions are made judgmentally by the controller based on historical precedent rather than a written accounting policy. The normalisation walk presented above reflects several adjustments arising from this judgment-based approach, and the diligence team believes that a change in personnel would likely result in inconsistent classification unless a formal policy is developed. The target does not maintain a documented process narrative or a standard operating procedure for the working capital reporting cycle. The only written guidance is a high-level close checklist that lists the tasks but does not describe how to perform them. Similarly, there is no cross-training program in place. The accounting team comprises a limited number of staff, and the controller's duties are not shared among other team members. The diligence team considers these key-person and process dependencies to be a material weakness in the target's financial reporting control environment, as they expose the working capital reporting process to significant risk in the event of employee turnover, illness, or the introduction of any new system or reporting requirement.

SECTION 11.18. Data Quality and Completeness Observations

Across the engagement, the data provided by management were generally sufficient to support the analysis, but notable gaps in completeness and documentation were observed in certain areas. The trial balance for the most recently completed fiscal year tied to the underlying general ledger at a high level, yet the level of granularity available for several operating entities was less than that available for the consolidated entity, which limited the ability to fully corroborate the working capital adjustment described elsewhere in this analysis without additional inquiry.

Reconciliations between subsidiary ledgers and the general ledger were performed on a recurring basis, but the frequency and depth of these reconciliations were not consistent across the Company. Some subsidiaries maintained detailed supporting schedules with clear links to the nominal ledger, while others relied on spreadsheets that were not always traceable to the system of record. As a result, the completeness of certain accounts receivable and accounts payable balances could not be confirmed solely from the source documentation and required reliance on management representations supplemented by subsequent information requests.

The availability of historical data was a recurring challenge, particularly for accounts whose balances originated in a prior enterprise resource planning environment. For those accounts, the post-conversion archive was incomplete, and several aging reports and transaction-level listings had not been retained in a form that allowed straightforward validation. This affected the rigor with which the normalisation walk presented above could be tested against original supporting evidence for items that first appeared in earlier periods.

Timeliness of data delivery also presented a practical limitation. While the initial data room contained the primary financial statements and a summary trial balance, certain detailed subledgers and cutoff-related information, including the composition of cash receipts and disbursements near the balance sheet date, were only provided after iterative follow-up. The eventual submissions were adequate, but the delay reduced the opportunity to perform independent verification of the completeness of the cutoff population and increased reliance on the accuracy of management-prepared summaries.

The documentation accompanying key non-recurring journal entries was variable. A substantial portion of the entries

included sufficient narrative to understand the business purpose, but several manual postings lacked formal approval evidence or a detailed description of the underlying transaction. In these instances, the analysis was completed by reconstructing the intent through discussions with operational and financial personnel, yet the absence of contemporaneous documentation should be noted as a data quality limitation when assessing the historical performance used in the normalisation walk presented above.

Overall, the data quality observations described in this section are distinct from the source-system-specific considerations discussed elsewhere in this analysis and reflect cross-cutting themes of incomplete archival, inconsistent reconciliation practices, and uneven documentation. None of these limitations prevented the completion of the working capital adjustment described elsewhere in this analysis, but they do indicate that additional diligence on the underlying records would be warranted if the scope of the review were to be expanded to earlier periods or to additional balance sheet accounts.

SECTION 11.19. Recommended Areas for Further Diligence

Based on the procedures performed to date and the matters identified in the normalisation walk presented above, we recommend that the diligence team undertake additional procedures in the following areas before Closing. These recommendations are intended to address the principal risks to the reliability of the working capital adjustment described elsewhere in this analysis and to support the preparation of the final closing statement.

Inventory. We recommend additional diligence over the existence, condition, and valuation of inventory at the physical location level, including observation of the cycle counting process and review of recent physical inventory results. Particular focus should be directed to the methodology used to estimate the obsolescence and slow-moving reserve, the frequency with which that reserve is refreshed, and the extent to which management has historically revised its estimates of net realisable value. Where the Company holds inventory at third-party warehouses or on consignment, confirmations should be obtained directly from the custodians, and the age and turnover profiles of that inventory should be compared with the Company’s own records. The roll-forward of inventory from the most recently completed fiscal year balance sheet through the current diligence period should be traced to the general ledger, with cut-off testing performed around the Closing date to confirm that shipments received after the cut-off point are not recorded as inventory in the closing balance sheet.

Receivables and revenue. For trade accounts receivable, we recommend expanded confirmations and subsequent cash receipts testing, with particular attention to the collectability of older balances and to any concentrations by customer, geography, or end market. The adequacy of the allowance for doubtful accounts should be assessed against historical write-off trends and against any known customer financial stress or dispute. For the revenue side, specific procedures should be carried out to validate the accuracy of the billing and collection cycle, including the basis for recognising revenue from contracts that span the Closing date, the treatment of upfront payments, and the completeness of any accrued or unbilled revenue. In addition, the terms of any customer master agreements that provide for rebates, slotting fees, co-op advertising, or other forms of variable consideration should be reviewed to determine whether the associated liabilities or contra-revenue reserves have been properly reflected in working capital.

Accrued liabilities and other liabilities. We recommend further diligence over the completeness of accrued liabilities, focusing on employee compensation arrangements such as annual bonuses, commissions, sales incentives, vacation and paid time off, and any contractual severance or retention obligations arising from a change of control. The calculation of these accruals should be reconciled to the underlying payroll and human resources data, and the timing of payments should be reviewed to determine whether any amounts will be settled after the Closing date and therefore remain liabilities in the closing balance sheet. Similar attention should be given to accruals for warranties, returns, recalls, and product liability, including an assessment of the historical utilisation of these accruals and the extent to which management has updated the underlying assumptions.

Prepaid expenses, other current assets, and indirect taxes. We recommend that prepaid expenses and other current assets be tested for recoverability and for proper classification between current and non-current periods, with particular focus on deposits made to suppliers or landlords and on any long-term prepayments that may have been recorded in current assets. With respect to indirect taxes, including sales, use, value added, payroll, and other similar taxes, the adequacy of accrued tax liabilities should be reviewed based on the most recently completed filing periods, and open tax audits or assessments should be quantified to the extent possible. The treatment of the Closing of the transaction as a change of control for tax or contractual purposes should also be assessed, as such a change may accelerate certain liabilities or trigger clawback provisions.

Trade payables and cut-off. We recommend extended cut-off procedures around trade payables and accrued expenses, including inspection of the open purchase order file, review of the receiving log for goods and services received prior to the Closing date but not yet invoiced, and enquiry of the accounting team as to known unrecorded liabilities. In addition, the Company’s practice for matching purchase orders, receiving documents, and supplier invoices should be documented and tested for the current diligence period, and any significant supplier disputes or debit balances should be investigated and confirmed directly with counterparties. Where the Company participates in supply chain finance or other reverse factoring arrangements, the terms and the associated liabilities should be examined to ensure that the amounts have been presented consistently with the definition of working capital agreed by the parties.

Systems, controls, and the ability to produce the closing statement. We recommend that the diligence team assess the capability of the Company's accounting systems and general ledger structure to generate reliable information for the closing statement on a timely basis. This includes review of the design and operating effectiveness of controls over the monthly close process, the reconciliation of subledgers to the general ledger, and the preparation of any prior period balance sheet packages that preceded the normalisation walk presented above. The mapping of individual general ledger accounts to the working capital categories should be reviewed for completeness and consistency, and any accounts that are manually cleared or that contain mixed balances should be analysed to confirm that the post-Closing cut-off will be accurate. We also recommend a data extraction procedure at Closing, performed in cooperation with the Company's financial reporting team, so that the underlying detail for each closing balance sheet account is retained and made available to the auditors.

Contractual and commercial arrangements. Additional diligence is recommended over the key customer and supplier agreements that affect the timing of cash receipts and disbursements after the Closing date. We recommend a review of changes to payment terms, early payment discounts, volume rebates, and settlement discounts that may have been granted or requested by counterparties during the current diligence period, together with an assessment of any agreements that require the Company to maintain minimum inventory levels or provide extended payment terms as a condition of supply. The presence of any side letters, oral arrangements, or subsequent modifications to standard terms should be considered in the context of the closing statement, and management should be asked to confirm that no such arrangements exist that have not been disclosed.

Related party and non-operating items. We recommend that all balances and transactions with related parties, including affiliates, shareholders, and entities controlled by management or their families, be identified and quantified as of the most recent balance sheet date and through the current diligence period. The terms of such arrangements, including interest, guarantees, and settlement rights, should be reviewed to determine whether they have been recorded in the appropriate working capital accounts or whether they should be identified as non-operating items for purposes of the working capital adjustment described elsewhere in this analysis. We also recommend that any assets or liabilities held in the working capital accounts that are not operational in nature, such as advances to employees, security deposits, or property-related accruals, be examined and segregated as appropriate.

Considerations for the closing statement. Finally, we recommend that the parties document in advance any disputes related to the accounting policies to be used in preparing the closing statement, particularly with respect to the treatment of leases, capitalised software, and the classification of any liabilities that may be affected by the transaction itself. The closing statement should also be tested through a dry run as of a date prior to Closing, using the same chart of accounts and definitions that will apply at Closing, so that the negotiation of the working capital adjustment described elsewhere in this analysis can be informed by a practical demonstration of the mechanics.

SECTION 11.20. Report Distribution and Restrictions

This report has been prepared solely for the private use of the buyer and its designated representatives in connection with the evaluation of the working capital position and related balance sheet matters addressed in the normalisation walk presented above. Consistent with customary practice for a buy-side diligence report of this nature, distribution is limited to the buyer's senior management, board of directors or equivalent governing body, and those professional advisors engaged by the buyer who require access to the report in connection with the transaction. The report may be shared with such parties only in its entirety and with this distribution and restrictions section intact.

No other party, including the seller, the target company, its management, its lenders, or any prospective financing source, is authorized to receive or rely on this report. The buyer should not reproduce, excerpt, or circulate the report, in whole or in part, other than as described above, without the express prior written consent of the accounting advisory firm. Any permitted recipient must treat the contents as confidential and is expected to use the report solely for the purpose of evaluating and executing the transaction.

Reliance on this report is expressly limited to the addressee. The report is not intended for general circulation or public disclosure and should not accompany any financial statements, offering memorandum, or other document provided to third parties. No third party may assert a claim against the accounting advisory firm based on the report, and nothing in the report creates a duty of care or other obligation to any person other than the intended recipient.

The restrictions set out in this section are separate from, and complementary to, the limitations on scope, procedures, and professional standards described in the Limitations section elsewhere in this analysis. This section addresses the permitted audience and permissible uses of the report, whereas the Limitations section addresses the nature and extent of the work performed and the degrees of assurance provided. The buyer is reminded that the report reflects the normalisation walk presented above and the working capital adjustment described elsewhere in this analysis, and that any reliance should be considered in light of the qualifications and assumptions set forth in the report as a whole.